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CANADIAN

GIFT PLANNING HANDBOOK

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THE JEWISH COMMUNITY FOUNDATION OF MONTREAL
Where smart philanthropy starts

DISCLAIMER

This Canadian Gift Planning Handbook has been prepared for the use of gift planners and professionals involved in planned giving. The content is general in nature and the discussion on each topic is not necessarily exhaustive. The information provided does not constitute financial, tax or legal advice. Please consult your income tax, financial and/or legal advisors before arranging a planned gift.

TABLE OF CONTENTS

Chapters		Pages
	Glossary Of Terms And Definitions	4
	Introduction	6
1	A Personal Approach	7
2	The Basics: Percentage Limitations and Excess Contributions	9
3	Bequests	13
4	Gifts of Life Insurance	19
5	Interest Free Loan	22
6	Charitable Remainder Trust	23
7	Gifts of Residual Value	26
8	Gifts of Capital Property	28
9	Gifts of Marketable Securities	30
10	Gifts of Private Company Shares And Debt	32
11	Gifts of Real Estate	37
12	Gifts of Art	38
13	Individual Estate Planning	40
14	Corporate Estate Planning	42
15	Departure Tax Planning	46
16	RRSP Gift Planning	47
17	Gifting U.S. Assets	50
18	Contrasting The Federal and Quebec Taxation Acts	52
19	Mining Flow-Through Donations	54
20	Case Study	57
	Note on Alternative Minimum Tax & Capital Gain Inclusion Rate	**67**

GLOSSARY OF TERMS & DEFINITIONS

Adjusted Cost Base: "ACB" (Section 54 of The Act)

Canada Revenue Agency: "CRA"

Canadian Controlled Private Corporation: "CCPC" (Subsection 125(7) of The Act)
- A Canadian corporation that is not controlled by non-residents or public corporations

Capital Dividend Account: "CDA" (Subsection 89(1) of The Act)

Capital Gain Exemption: "CGE" (Subsection 110.6(1) of The Act)
- A lifetime Capital Gain Exemption of approximately $1,250,000 is available on the disposition of certain shares of Canadian Controlled Private Corporations as well as certain farming and fishing businesses

Cash Surrender Value: "CSV" (Subsection 148(9) of The Act)

Charitable Remainder Trust: "CRT"

Connected Corporation: (Subsection 184(6) of The Act)
- A payor corporation is connected to a particular corporation if:
  - The particular corporation is part of a controlling group that control the payor; or
  - The particular corporation owns more than 10% of the votes and value of all the payor shares

Deemed Disposition: (Subsection 70(5) to 70(10) of The Act)
- On death The Act deems a taxpayer to have disposed of all their assets

Donation Mining Flow-Through: "DMFT"

Excepted Gift: (Subsection 118.1(19) of The Act)
- See chapter 10 Gifts of Private Company Shares and Debt

Fair Market Value: "FMV"

Gifts in Kind: Gifts of property other than cash

Graduated Rate Estate: "GRE" (Subsection 248(1) of The Act)
- An estate arising on and as a consequence of an individual's death
- Satisfies the conditions in The Act to be a testamentary trust
- Not more than 36 months have passed since the date of death
- Deceased's Social Insurance Number is shown on the estate return
- Designates itself as a GRE on its first tax return
- No other estate of the individual is designated as such

Mining Flow-Through: "MFT"

Non-Qualifying Security: (Subsection 118.1(18) of The Act)
- See chapter 10 Gifts of Private Company Shares and Debt

Paid up Capital: "PUC": (Subsection 89(1) of The Act)

Qualified Donee: (Subsection 149.1(1) of The Act)
* (Throughout this handbook any reference to charity or registered charity refers to a qualified donee.)
- A Canadian registered charitable organization
- A Canadian registered private foundation
- A Canadian registered public foundation
- Certain universities outside Canada listed by the CRA
- Certain foreign charities
- Certain municipalities in Canada
- Municipal or public bodies in Canada performing a governmental function
- Housing corporations listed with the CRA
- A registered journalism organization

Refundable Dividend Tax on Hand: "RDTOH" (Subsection 129(4) of The Act)

Registered Pension Plan: "RPP" (Subsection 248(1) of The Act)

Registered Retirement Income Fund: "RRIF" (Subsection 146.3(1) of The Act)

Registered Retirement Savings Plan: "RRSP" (Subsection 146(1) of The Act)

Small Business Deduction: "SBD" (Subsection 125(1) of The Act)

Taxable Canadian Property: "TCP" (Subsection 248(1) of The Act)

The Income Tax Act, Canada: "The Act"

Undepreciated Capital Cost: "UCC" (Subsection 13(21) of The Act)

INTRODUCTION

Dear friend,

This Handbook, first published in 1997, is now in its second edition. While it has been continually edited to reflect changes in the law, this new edition attempts to change some of the essence of the material.

Planned giving is often seen as a set of products – annuities, bequests, insurance, etc. – and the first edition examined planned giving product by product.

Planned giving is a flexible title that can be interpreted in many ways. To some organizations, planned giving simply equates to bequests. Increasingly however, more organizations understand that planned giving is a blanket term to encompass any gift that requires planning. Planning is not a product but rather a dedicated process. This process may end with a product, or it may not. In its essence, planned giving is an interaction between the needs of the donee and the needs of the donor, with financial mechanisms hopefully creating a result that is as effective as possible.

This edition makes several changes that are intended to help the reader understand the process of planned giving. We set out in the first chapter a decision tree, which matches the needs of the donor with possible outcomes or products. Each product chapter contains new information suggesting to whom the product may be best suited. The last chapter now introduces a philanthropic review for a fictional family. It considers a process for this family that reveals their best possibilities for planned giving.

The objective of the first edition was to allow fundraisers and professionals to stimulate more charity and good deeds. We hope this edition does the same!

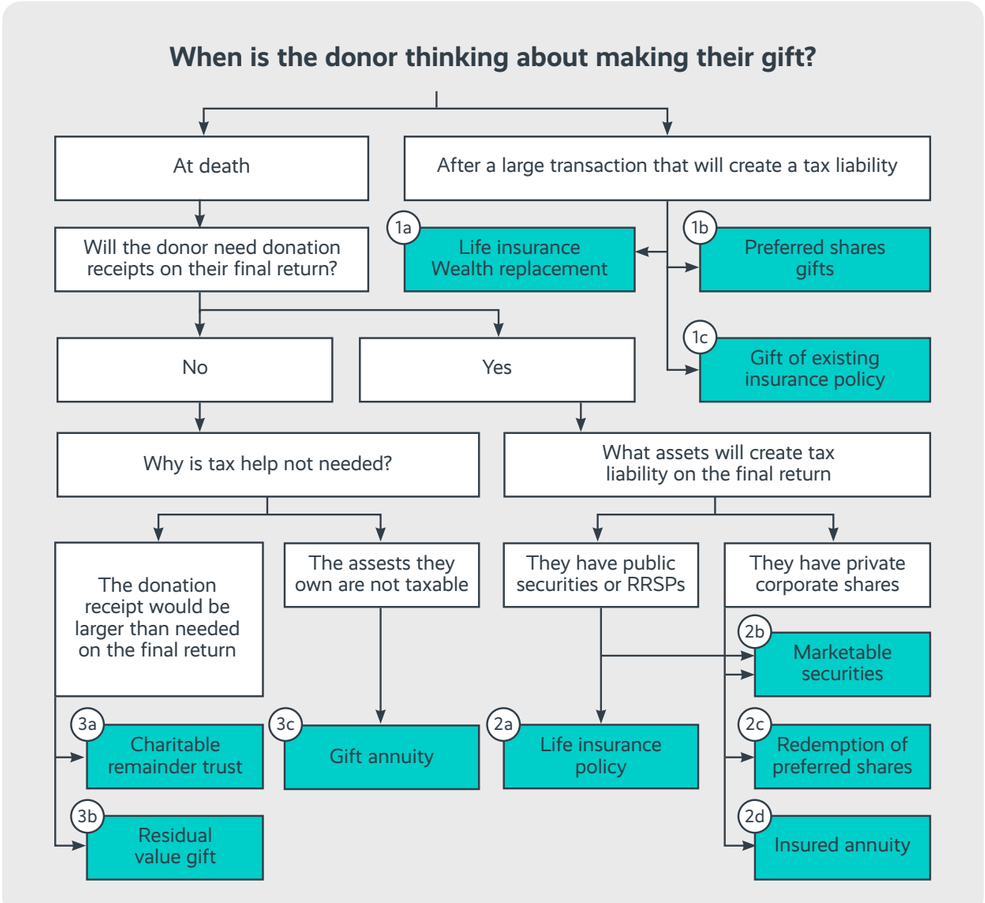
The information contained in this Handbook reflects tax law in effect as of October 2024

CHAPTER 1

A PERSONAL APPROACH

Working in planned giving is ultimately about building connections with people, not about a specific strategy or product. There are three broad categories of potential donors covered in the following pages; donors hoping to give following a large transaction, donors hoping to offset their taxes due at death through philanthropy, and donors who will not need any tax help at death. These specific donor types are highlighted over others as they are often the ones with the most interesting and complex gift planning opportunities.

Consider the following decision tree:



Scenario 1: After a Large Transaction

First, imagine a donor who foresees a large transaction in his/her future. If the transaction will create a large amount of tax liability, it presents an excellent opportunity to use a donation receipt. There are three main plans for this kind of donor. The first plan **(1a)** is a life insurance wealth replacement. In this plan, the donor makes a donation to create tax savings, and then purchases a life insurance policy to replace the amount of wealth that they just donated. See chapters 4 and 13 for more details. The second plan **(1b)** is a gift of preferred shares. In this scenario, the donor gifts dividend-paying preferred shares to a Qualified Donee. The donor obtains a large charitable receipt to help offset the taxes due on their transaction, while dividend refunds may allow them to regain a significant amount of cash. See chapter 10 for more details. The third plan **(1c)** is the gift of an existing insurance policy. In this scenario, if the donor has an old insurance policy that they no longer need, they can gift it to charity and receive a large tax receipt. See chapter 4 for more details.

Scenario 2: Reducing Taxes at Death

Consider a donor who hopes to use a charitable receipt to minimize taxes owing at death. If they hold public securities and/or RRSPs, there are two plans available to them. In the first plan **(2a)**, they can purchase a life insurance policy to benefit a Qualified Donee, allowing the yearly premium payment to be tax deductible. See chapter 4 for more details. The second plan **(2b)** involves marketable securities. In short, gifts of appreciated securities are extremely tax effective, even if given in a will, as they avoid the capital gains tax. See chapter 9 to learn more about how this works.

Understanding the donor's assets is a crucial step in the gift planning process. If the donor is a controlling shareholder of a private corporation, an entirely different stream of gifts become very attractive. Gifts of marketable securities **(2b)** are still a viable plan if held within the private corporation, though their application is slightly different. See chapter 9 for more details. The second option available is the redemption of preferred shares **(2c)**. This plan involves gifting preferred shares to a Qualified Donee. Normally these shares would be taxable at death, so gifting the shares creates immediate tax savings along with a possible dividend refund upon redemption. See chapter 10 for more details. Finally, donors can opt for an insured annuity **(2d)**. In this plan, the donor replaces their assets with an annuity to live on and an insurance plan, which is not taxable at death; this therefore eliminates taxes owing on death.

Scenario 3: No Tax Help Needed

This donor is not looking to reduce the taxes owing on their final return. If this is because their donation receipt will be larger than the income created at death on their final return, there are two ideal options to consider. First, is establishing a CRT **(3a)**. This plan creates a donation receipt that can be used immediately, but dollars are still transferred to a Qualified Donee at death, essentially creating a deferred gift. See chapter 6 to learn more.

The second option is a residual value gift **(3b)**. In this plan, the donor donates an asset, such as a personal residence, to a charity, but continues to use it for life. They obtain an immediate tax receipt, but again the gift is physically given only at death. See chapter 7 for more details. If the donor simply owns assets that are not taxable, their best option is a gift annuity **(3c)**. In short, the gift annuity replaces a fixed income investment, which insures a more tax-effective life return.

CHAPTER 2

THE BASICS: PERCENTAGE LIMITATIONS & EXCESS CONTRIBUTIONS

The Act is structured so that donations to Qualified Donees will act to reduce one's annual tax liability to the Canadian and provincial governments.

For individuals a donation will provide a non-refundable tax credit that will reduce taxes otherwise payable. The first $200 of donations will provide a low credit of approximately 20%- to 33%, depending on the province of residence. Any donation in excess of $200 will provide a credit of, depending on your taxable income and the province of residence of approximately 44.50% to 54.80%. For purposes of this handbook (unless otherwise specified) whenever examples are provided we have assumed a 50% credit for personal donations. Obviously, for your purposes you may modify the example for the percentage applicable in the relevant province of residence.

For corporate tax purposes, donations yield deductions in arriving at taxable income, not credits. Effectively, the corporate taxpayer's donations reduce its taxes payable at the highest applicable corporate tax rate depending on the corporation's tax profile. For purposes of examples in this handbook (unless otherwise specified), we have assumed the corporate tax rate on investment income (other than Canadian taxable dividends) is 50% and on active business income not eligible for the Small Business Deduction, 27.5%. For your purposes, you may modify the examples for the relevant province.

Percentage limitations

Although our income tax laws encourage charitable contributions, certain limitations are imposed to the extent to which such contributions may be deducted or credited currently against taxable income or taxes payable. As noted previously, for corporations a deduction is taken for charitable contributions whereas for individuals it is a tax credit. The terms "credit" or "deduction" will be used interchangeably in this handbook.

How much a donor may deduct as a charitable contribution in any year is determined by the application of the percentage limitation to the donor's contribution base, effectively, the net income of the taxpayer.

Net income is made up of normal income items of the taxpayer, such as salary, taxable dividends, rental income, taxable capital gains, business income, etc., less certain deductions including RRSP, RPP, childcare deductions, investment expense deductions, as well as most tax shelter deductions.

For Federal purposes, a donor may be limited in the amount that can be deducted in any given year based on net income. These limitations are as follows:

- The basic limitation for federal purposes is 75% of net income.
- Where a donor gifts capital property to a charity resulting in a taxable capital gain the donor is entitled to add to the basic limit 25% of that taxable capital gain. As the basic limit is 75%, by adding the 25% of the taxable capital gain, the taxpayer utilizes a donation receipt at least equal to the income that would be recognized due to the gift.
- Where a transfer of depreciable property occurs to a charity and recaptured depreciation results, an addition to the limit will occur to the extent of 25% of the recapture. Again, by adding the 75% basic limit this would mean that 100% of the recapture would be sheltered from tax by the donation receipt.
- Gifts of Canadian cultural or Ecological projects can be applied against 100% of income.
- The limit rises to 100% for a deceased taxpayer's final tax return in the year of death and for the tax return for the immediately preceding year.

For Quebec purposes, there is no 75% limitation and gifts equal to 100% of net income may be claimed. (See Chapter 3 for the treatment of gifts made by wills or by estates).

The simplest method of increasing one's base is to increase net income. Usually it is not logical to create extra taxable income in order to use a donation carry forward. However, if the use of a donation will be lost due to timing purposes, at that point it would make sense to increase pre-tax income, where feasible, in order to use up the donation receipt.

A donor who is the shareholder of a private corporation can employ a common strategy to manage their personal net income. If available to them, by changing their remuneration package from salary to dividends they can increase their net income without impacting their taxes owing. The dividend gross-up mechanism will result in a higher net income so that higher donation tax credits can be used, while the dividend refund mechanism may ensure the shareholder is not paying taxes in excess of a salary strategy.

In a shareholder/manager situation, one can maximize the donation base by studying both the corporation and the individual. Put another way, if the corporation is having difficulty utilizing its donations the individual could start making donations. To fund the individual making the donation, the company could pay salary or dividends to that individual. The donation would effectively be used to shelter the income in the individual's hands. If an individual is having trouble utilizing their donations, the corporation can be used to make the donation and use up its percentage limit.

For Federal purposes, The Act allows spouses to share their donations. Thus, if one spouse is limited in the use of donations due to the base limit, the other spouse may claim the donations on their tax return. For cash gifts the policy also applies for Quebec purposes. However, Quebec does not allow spouses to share Gifts in Kind.

Effective for 2024, donations have been added to the Alternative Minimum Tax (AMT) calculations. Previously, this was not a factor. This will mean that in some situations, most notably when an individual realizes a significant capital gain and makes a donation, the AMT may be a factor.

Corporations

As noted above, donations are utilized in arriving at corporate taxable income. In a situation where a Canadian company is the parent company of another Canadian corporation, it may be possible to extend the donation base of the parent company without creating taxable income.

The donation base can be extended because of the special taxation rules governing Canadian dividends. Canadian dividends are considered taxable to the corporation in arriving at net income. As part of that income, Canadian dividends form part of the limitation base for donations. However, once net income is calculated, these same Canadian dividends are deducted in arriving at taxable income. Thus increasing one's Canadian corporate dividends does not increase taxable income but does increase the donation base. Canadian corporations pay a Part IV tax on Canadian dividends received, but if the payer and recipient corporation are "connected" this tax may not be exigible.

EXAMPLE 1

Holdco owns 100% of OPCO. Both companies are CCPC's. Holdco has net income of $1,000,000 in the year and has made a $1,000,000 gift to a qualified donee. It appears that the donation will be deductible in the year to the extent of 75% of net income or $750,000. Holdco causes OPCO to declare and pay a $333,333 dividend. Holdco retains the cash or reinvests in OPCO via shares or loan. Compute Holdco's net income. Can they use the full receipt?

Calculation of net income	*Net Income*	*$ 1,000,000*
	Taxable Dividends Received	*$ 333,333*
		$ 1,333,333
Adjustments in arriving at taxable Income	*Donation (lesser of 75 % of $1,333,333 or $1,000,000)*	*$(1,000,000)*
	Taxable dividends	*(333,333)*
	Taxable Income	*$ -NIL-*

The full receipt can be used in the year.

Carryovers

Contributions that exceed the percentage limitations may be carried over for credit or deduction in five succeeding tax years (ten years in the case of gifts of Canadian Cultural Property and Ecological Property). Whether such contributions actually may be used within the carryover period depends on the extent to which the donor has net income in those years. Pursuant to The Act, taxpayers must claim or use their donations in the order in which they were made; a "first in, first out" basis. Thus, the carry forward will be used up before current donations.

EXAMPLE 2

Mr. Stein donated real estate to a Qualified Donee resulting in a charitable tax receipt of $425,000, a capital gain of $100,000, and recaptured depreciation of $200,000. His net income would have been $125,000 without the donation.

Calculation of net income

Other net income	*$ 125,000*
Taxable capital gain (50% of $100,000)	*50,000*
Recapture	*200,000*
	$ 375,000

Donation limit

a. 75% of net income (75% of $375,000)	*$ 281,250*
b. 25% of taxable capital gain re: donation	*12,500*
c. 25% of recapture re: donation	*50,000*
	$ 343,750

Use of receipt

Current donation receipt	*$ 425,000*
Used in the year	*343,750*
Available for carry forward	*$ 81,250*

CHAPTER 3

BEQUESTS

Who should use them?

Bequests are an easy, tax-effective, and scalable type of gift that can be useful to any donor. Capable of incorporating gifts of RRSPs and life insurance, bequests can be funded for donors with corporate estate issues through the purchase of company owned insurance policies. Where possible, bequests should be made with appreciated marketable securities.

Bequests remain the number one method for charities to receive major gifts. Even so, only a very small percentage of Canadians leave a bequest to their community. In a study undertaken by the Council of Jewish Federations over thirty per cent of respondents over age sixty-five indicated that they wished to leave a bequest to their local federation/foundation. Interestingly, only a third of those who responded positively actually had made such a provision in their will.

The number one reason for why bequests remain so underutilized is because not enough charities are asking for them! Professional advisors can help reverse this trend by asking their clients the following leading question: "Many of my other clients have left a gift to charity in their will, have you considered leaving a bequest to charity in yours?"

There are many forms of bequests to charities contained in a will, the most basic being a specific bequest, such as the outright gift of a certain amount of money or even a particular property or income source. Some testators will leave a percentage of the estate to a charity, for example, 20% of their estate to a charity or selection of charities.

In some cases, the amount given to a charity is a residual bequest after other specific bequests have taken place, i.e., leaving a set sum of money to some relatives with the balance of the estate given to a charity or a group of charities. Finally, you may also see donors making contingent bequests, where the gift to a charity is dependent on the occurrence of another event. For example, the donor may make a bequest to a Qualified Donee only if the original beneficiary predeceases them.

Sample Will Clauses

Unrestricted Bequest

Such a bequest is an outright gift to a Qualified Donee. A Qualified Donee can then use this money and the income arising therefrom as it sees fit. A suggested clause for such a bequest is:

> *I bequeath to the 'name of Qualified Donee' the sum of $ to form part of its permanent endowment. The gift should be made, to the extent possible, from appreciated securities.*

Bequest with Specific Income Direction
Such a bequest is made when a testator wishes to leave a capital sum to a Qualified Donee but wishes to direct how the income from the capital will be used in the future. A suggested clause for such a bequest is:

> *I bequeath to 'name of Qualified Donee' the sum of $ to form part of its permanent endowment. The income generated by this bequest is to be used for (state the purposes for which the income is to be used). If, in the opinion of the Executive Committee of 'name of charity', the need for funds for the purposes designated no longer exists, the income may be used for the general purposes of the 'name of charity'. The gift should be made, to the extent possible, from appreciated marketable securities.*

Residual Bequest
Such a bequest is made when the testator sets out a percentage gift to the Qualified Donee after specified other beneficiaries have received their payments. A suggested clause for such a bequest is:

> *I bequeath to 'name of Qualified Donee' xx% of the residue of my estate after payment to the specified named beneficiaries. The gift should be made, to the extent possible, from appreciated securities.*

Trust
Such a bequest is made to ensure that a spouse, family member or other individual is cared for during their lifetimes prior to the charity receiving the property, in essence creating a deferred gift to the charity. A suggested clause for such a bequest is:

> *I bequeath the sum of $ to a trust, the income beneficiary of which will be my spouse (or other individual). My spouse may or may not encroach on the capital during their lifetime for emerging needs at the discretion of the trustees. Upon my spouse's death, the capital will be distributed, at the discretion of the trustees, to 'name of Qualified Donee'.*

A trust can be used for others besides the spouse; for example, other relatives that one wants to ensure are taken care of during their lifetime. However, in this case, the property transferred into the trust will be subject to the deemed disposition provisions on death (see chapter 13 for more details on deemed dispositions). Thus, cash or other non-growth assets are usually used for charitable trusts for non-spouse members of the family.

If in the above trust the spouse cannot encroach on capital, this trust is in effect a Charitable Remainder Trust (see chapter 6 for more details). Unfortunately, this trust will not yield a donation receipt for the final return if established in the will.

Donating Via a Spousal Trust

It seems odd to have a special section with this title in this chapter on bequests, but this review will help the understanding of how donations are tax effective in certain situations, which are counter intuitive to basic logic. In addition, the recent changes to estates law and CRA interpretations, which again may appear illogical, may necessitate a review of old wills effected before the tax changes.

Leaving property to a spouse in a will results in a tax rollover, unless elected otherwise. The survivor inherits the deceased ACB and thus when he or she disposes of the property, or passes away, tax is paid at that time. The same rules apply if property is transferred to a spouse trust (a trust where only the spouse can benefit during lifetime) A spouse trust is chosen rather than an outright bequest if the testator feels that the surviving spouse needs trustees to manage the properties or more commonly the testator wishes to control where the assets go on the death of the second spouse. The spouse trust contains directions indicating that, at the death of the second spouse, the assets are to be distributed to named entities, often children but also possibly charities.

The spouse trust is often used for large charitable gifts to ensure that the gift is made to the charity of choice and to ensure that the surviving spouse is fully taken care of during their lifetime. If emergencies arise which require all the funds in the trust to be used to support the spouse, it may mean that there will be no money left for the charity.

An old technique (no longer effective under the new rules) was to have the will create a spouse trust that is also a CRT. This meant that the spouse could not encroach on capital, would receive income for life, and upon death the funds in the trust go to charity. In many cases, two spousal trusts were created, one for the charitable giving, and another where the spouse could encroach on capital.

The result was that the final tax return would contain a receipt from the charity for the CRT component. It could use the receipt against income on the final tax return and the preceding year. One can elect not to use the spouse tax rollover to create income to be offset by the donation receipt. This technique was used to wipe out tax either at death or in the future.

The new estate tax rules actually mandate the existence of a new trust. Because it is effectively a trust creating the spouse trust, it does not qualify as a CRT and therefore no receipt would be issued.

Thus, the thinking then becomes; wait for the second spouse to pass away to get the charity receipt to be used against the capital gains which will arise at that time. Without using a CRT, the spouse can also encroach on capital.

Envision a will, which directs property with a FMV of $12,000,000 and an ACB of $5,000,000 into a trust to benefit the spouse. The spouse now enjoys income during lifetime and can encroach on capital for emergencies. Upon the death of the second spouse, 33.33 % of the property will go to each of the two children and 33.33% will go to charity. Let us assume that the spouse passed away and that the property still has an FMV of $12,000,000. What are the tax effects?

First, the $7,000,000 capital gain ($4,625,225 taxable capital gain (50% on $250,000 and 66.67% on $6,750,000)) is not taxed in the spouse's final return. It is taxable within the spouse trust. Can donations be used against this income? The answer is yes, but they must be donations made by the spouse trust. Beware, if the second spouse has their own will gift, and his/her estate trust pays the gift, it is a valid donation which can be used in the final return or the estate return, but that is NOT the spouse trust, which is a trust set up by the first spouse. So, any donation made in the second spouse's will, will not be able to shelter the tax on the deemed disposition within the originally created spousal trust.

But the trustees note that they will be distributing $4,000,000 from the spouse trust to the charity. They make the transfer within 90 days of the year end, and thus the spouse trust has $4,625,225 of income and they will use the $4,000,000 receipt against the income. You would imagine this results in the trust paying tax on only $625,225 ($4,625,225 - $4,000,000). **However, two problems arise.**

1. The ability to use charity receipts against 100% of income is reserved for the final personal tax return and the return for the year before death. It does not apply to a spouse trust. Only 75% of the gain, in this case $3,468,919 (75% x $4,625,225) would be sheltered in the above scenario.

2. More importantly, the charity distribution as described above is considered by CRA not to be a valid donation. No taxes will be offset and the perceived donation is not useable anywhere for tax purposes. Why? To be a donation, CRA contends, there must be charitable intent. While the original testator had charitable intent, the taxpayer in question is the spousal trust and not the original testator. It is CRA's position that the spousal trust had no charitable intent. It was merely acting on the wishes of the original testator; therefore it is a distribution, not a donation by the spousal trust. It seems there is a catch-22.

There is a solution to the problem. It deals with how one writes up the spouse trust. The original testator should provide the trustees of the spouse trust the right, at their discretion, but not the obligation, to make a donation of up to 33.33%, of the assets in the trust to Qualified Donees of their choice. After those donations, if any, are made, the balance in the spouse trust will be distributed to the two children equally. Thus by providing the trustees the discretion to make the donations, charitable intent has been created. In advance, the testator would send a private letter to the trustees indicating that they will have the discretion to make donations in the spouse trust, but he would hope the donation would go to some suggested charities of his choosing. Within 90 days of the second death, a donation of $4,000,000 is made to the indicated charity (and for even more tax savings, the trustees can make the donation using appreciated securities) and useable upon the tax return of the spouse trust. This can be used to offset up to 75% of the tax in the trust. If the planning is to direct donation to the extent of tax deductibility (or credit), perhaps the donation will only be $3,468,919.

An example of the wording, which may be used to provide the trustees the discretion to make the gift, is:

> *The trustees of this spouse trust, at their absolute discretion shall have the right to make donations to a Canadian Qualified Donee or charities to a maximum amount of assets having a value of $ or such lesser amount.*

These tax effects are as promised, odd and sometimes illogical. It's worth the effort to chart when and where income will be taxable and ensure that donations are properly in the right place to offset the tax on the income, which is really the intention of the donations. Repair the world with the government's participation.

Planning Tip:
To take advantage of the incentive to gift marketable securities at death the will bequest should include that the "gift should be made, to the greatest extent possible, from appreciated marketable securities."

Who has made the gift-Will or Estate?
Given the 100% income limit on death (see chapter 2), a will gift creates interesting planning possibilities. The taxation of will gifts has changed for deaths occurring after December 31, 2015. Gifts will be made by the estate, and not deemed to have been made by the deceased. The date of the donation and the FMV of the charitable receipt will be determined by the date of transfer of the property to the charity. If the estate is a GRE (which has a three-year lifespan after death, more information below), the estate can use the receipt in its tax return, its following five years or can designate the use in the deceased's final tax return and/or the year preceding the year of death. The benefits of giving listed securities, Canadian Cultural Property or Ecological Property will transfer to the final return. Thus, the capital gains exemptions on these gifts will be utilized on the final return. There are therefore two separate valuations for property gifted in a will. First the deemed disposition at death of the property, based on the FMV at death. Second, if the property is transferred to a charity within three years of death, the actual date of transfer will be the date the gift valuation should be done.

Graduated Rate Estates:
A Graduated Rate Estate (GRE) allows flexibility for tax purposes on where to utilize the gift. Our current tax laws set out that the trust created at death to be the one to have made the

donation pursuant to a will. The GRE may elect in its tax return to have the gift utilized in the deceased's final tax return or for the return of the year prior to death rather than the estate (which is a trust) itself. The donation must be paid to the charity to be recognized as a gift.

Consider the following:
John passes away on August 1 2019. On death, the trust created is a GRE. His assets include $1 million of RRIFs and he has made in his will a $2 million gift to charity "A". The final return will be filed on April 30, 2020 including $1 million of RRIF income but would like to claim in the return at least a $1 million of donation receipt of Charity A so as not to pay tax on the RRIF income. Therefore, the trust pays out to charity "A" $1 million on March 28 2020 and sets out a March 31, 2020 year-end for the trust. It elects in its trust tax return to move the donation to the final return. Thus, when the final return is filed on April 30, 2020 the $1 million receipt will be used to eliminate the tax. Of course, if one paid the donation in say August 2020, the final return would have been filed evidencing an income tax liability. After the year-end of the trust, where the election would have been made, a filing would be made to amend the final tax return to remove the tax that was owed. Also, note that it is not necessary for the testator to identify the institutions particularly in the will. The executors can decide where the donations are made after death.

It is important to note that gifts made by will can only be claimed by the testator or by the estate and they are not transferable to a spouse.

EXAMPLE

Mr. Goldberg wishes to leave a $1,000,000 bequest to his favorite Qualified Donee for the purpose of building a community center in Toronto, in memory of himself and his late wife.

Mr. Goldberg has three children who will share equally in the balance of the Estate. His annual income is $100,000. His accountant has calculated that his final tax return will include an additional $200,000 of taxable income due to the deemed disposition rules on death.

On death the $1,000,000 gift, via his will, paid by the Estate or elected by the Estate, will be used to offset the tax on the $300,000 of taxable income in Mr. Goldberg's final tax return and the $100,000 taxable income on the preceding year's return.

It is suggested that Mr. Goldberg leave, via his will, $400,000 to the charity which can act to shelter the income described above. The balance, $600,000 should be left to his three children. The three children may, at their discretion, then gift $600,000 to the charity upon receipt of these funds from the estate.

The children will each receive a $200,000 charitable donation receipt which they can use to shelter income from tax in the year of gift or in the five subsequent years. Approximately $300,000 of additional tax savings will be realized.

CHAPTER 4

GIFTS OF LIFE INSURANCE

Life insurance is an important tool in the estate and gift planning process. The key to life insurance is that proceeds received due to death are tax-free. Additionally, because 100% of gifts are deductible on the final tax return and gifts left via a will are usable in the final tax return, interesting planning possibilities arise.

It is noted that the following examples in this chapter utilize simple insurance products. These examples are meant as a guide. When actually acquiring suitable product, more varied and diverse insurance products will be used in most cases.

New Life Insurance
If one wants to gift a new life insurance policy this can be done relatively simply. The donor would donate each year to the charity an amount equal to the premiums on a policy of which the charity is the owner and beneficiary. If for example the annual premium on a $100,000 policy is $1,500 per year the donor would donate $1,500 each year and receive a donation receipt in that amount resulting in a tax savings of $750.

Existing Life Insurance
The contribution of a paid-up policy or a policy that has been in effect for several years but which requires additional premiums entitles the donor to an immediate income tax deduction equal to the value of the policy. Often the value of this policy is greater than the cash surrender value. The charity should endeavor to determine the true market value of the policy to determine the gift and tax receipt to be issued. Under The Act, the proceeds of disposition are still the cash surrender value. Thus, you could get a large receipt and little corresponding income. This yields interesting planning.

Who should use them?

Gifts of life insurance are perfect for donors looking to make a bigger gift while spending the same amount of money. As part of an estate plan, assets gifted to an organization can be replaced with funds received from a life insurance plan tax-free. It is particularly effective to combine insurance with a gift of private company shares, since the insurance will fund the redemption of the shares after death. Donors with existing policies should consider gifting them rather than cancelling them, since there is value to most old policies. Meanwhile, new insurance is extremely useful for a 50 – 70 year old donor as part of an estate and giving plan.

There is a new insurance policy in Canada, initiated by Canada Life, which is aimed at charities, which provides for a single premium to pay for the whole policy. This simplifies the process. The donor may use MFT shares or marketable securities to fund the premiums. This is a terrific planned gift opportunity.

Old policies that are no longer needed by the donor or donor's family can create current tax benefits. Often these policies, purchased originally to protect the spouse and young children and provide liquidity for the family, outlive their usefulness. After the children have grown and the protection for which the insurance was purchased has been provided by other assets, the insurance can be used to satisfy a charitable donation.

These matured policies have the additional advantage of providing substantial cash values available to the Qualified Donee. The cash in the policies and future dividends earned will often be sufficient to pay future premiums, without further contributions by the donor or cost to the Qualified Donee. Alternatively, the cash can be withdrawn by the Qualified Donee for its immediate use.

Giving life Insurance Proceeds at Death

One can purchase a life insurance policy and not have the policy owned by the charity. The premiums paid are effectively not deductible. The insurance proceeds will be directed to the charity in the donor's will. In essence, one is switching the tax deductions from the premiums paid during lifetime to the proceeds of the life insurance on the final tax return.

Corporate Applications

Even more beneficial is a corporately owned policy. The corporation would pay the yearly premiums. At death, the corporation receives the insurance proceeds tax-free and pays it out to the estate tax-free. The ultimate gift to charity can still be made with appreciated securities, improving cash flow for any beneficiaries. As the corporation has been paying premiums with cash over time, it is effectively lowering its FMV. Thus, the tax on death on the company shares is less (take a 27.5% discount on the effective cost of the premium). This simple gift of corporate insurance/will gift of securities often means the gift is made without any net cost to the family.

Gifts of insurance proceeds made in a will result in a donation credit on the final tax return. The credit is available for gifts of policies made through direct beneficiary designations even if not in the will.

Conclusion

The tax-free value of insurance allows for exciting Canadian-made gift planning. There are countless possibilities, of which the professional planner can take advantage. Throughout this handbook various plans are explored using life insurance.

EXAMPLE

John's company ("Johnco") purchases a $1,000,000 policy on his life. It pays premiums of $25,000 a year until age 100. In his will, John leaves $1,000,000 to a Qualified Donee. Assume John's mortality is 20 years and the interest rate is 3.0%. Assume a corporate tax rate of 27.5%

Pros: *On his final return, John saves $500,000 of tax (50% of $1,000,000) from the donation receipt.*

Cons: *Johnco pays $25,000 a year, non-deductible insurance premium. If it pays this for 20 years, the payments will total $500,000.*

It appears that John is in the same position financially, but we must consider the time value of money.

Pros: *Present value of the $500,000 of tax savings ($500,000 for 20 years at 3%) is $276,838.*

Cons: *Present value of $25,000 with payment for 20 years is $371,937. After tax, this cost is effectively $269,654.*

Conclusion: *The cost of creating a $1,000,000 gift today costs very little when comparing the present values of the premiums paid and the lump sum received on death.*

New Scenario: *The facts remain the same, except the estate has the power to make the gifts from appreciated securities instead of the life insurance proceeds. Assume John owned securities with a FMV of $1,000,000 and a $750,000 ACB. The deemed disposition tax on $250,000 of gain (50% x 50% of $250,000) is $62,500. The present value of $62,500 (20 years at 3%) is $34,605.*

Additional tax savings would be accomplished by gifting marketable securities, thereby increasing the attractiveness of the above scenario.

CHAPTER 5

INTEREST FREE LOAN

The term retractable is well known to Canadian professionals. It is used to describe certain preferred shares where the holder of the shares has the right to demand the redemption of the shares at any time.

The retractable donation is a donation that can be retracted at the volition of the donor. In the United States, it is known as a lead-trust and sometimes in Canada as an interest-free loan.

Who should use them?

Retractable donations are perfect for donors who wish to donate but are stopped by a sense of insecurity about the future. These donations are essentially loans that allow donors to support an organization, then take their money back when and if needed.

EXAMPLE

Mr. Pinchuk is a successful businessman. He earns a considerable annual salary and has accumulated significant capital which is invested conservatively. Mr. Pinchuk sees these funds as his nest egg. He, of course, pays tax at the highest level on the investment income earned. He wishes to build a fund within a Qualified Donee but does not want his nest egg impaired for himself or his heirs.

Mr. Pinchuk loans a trust $1,000,000. The foundation is the income beneficiary of the trust. If ever Mr. Pinchuk wishes to recover the $1,000,000 he demands repayment from the trust. Mr. Pinchuk can request that the interest accumulate in the foundation in a fund carrying his family's name. At a particular point in time, the fund can be used to "purchase" a community project in his family's name.

Over time, as the donor is able, he may forgive the loan to the foundation. The amount forgiven will be used to calculate the donation receipt. A forgiveness on death will yield a receipt usable on the donor's final tax return.

Effectively, this gift behaves like a loan to a Qualified Donee. As the loan can be retracted, the transfer of property is not irrevocable and therefore no charitable receipt will be issued. The income earned by the charity from the loan proceeds can be used for charitable purposes at the discretion of the donor. Annually the donor will not be taxed on the income; neither will they receive a tax receipt.

CHAPTER 6

CHARITABLE REMAINDER TRUST

A Charitable Remainder Trust (CRT) is a planned giving concept derived from the US. In Canada, there is no such legal entity. Unlike the US, where the Internal Revenue Code contemplates the CRT in legal fashion, there is no such mention in The Act. Under Canadian law, a CRT is a trust, plain and simple, and certainly not a charitable organization. A Canadian is deemed to have made a gift to a Qualified Donee when a transfer of property to a CRT by the interaction of various section of The Act

The CRT is a trust that holds capital transferred by the settler or donor. Effectively, the trust will pay income to the donor or other named income beneficiary during his or her lifetime and then distribute the capital to the Qualified Donee upon the death of the income beneficiary.

Who should use them?

CRTs are perfect for donors who will leave more to charity upon death than they need from a tax perspective – often, donors with no children. The CRT creates a receipt that can be used during the donor's lifetime and reduce the ultimate receipt on death which would otherwise not be fully used.

CRA has clarified their position as to what they consider a valid CRT. The most important requirement in relation to the establishment of the gift is that property is transferred to the trust irrevocably. In this way, no one can remove capital from the trust except the Qualified Donee. The donor cannot have any right of encroachment. This type of trust is different from the typical spousal trust, which allows the spouse to be an income beneficiary for life but also allows for capital encroachment during the spouse's lifetime.

What are the benefits to the donor of establishing a Charitable Remainder Trust?

First, is the establishment of the gift during the lifetime, which the donor knows will be available to the Qualified Donee for its full use upon the donor's death. Next, an annual income flow will be realized by the donor or designated beneficiary. Usually the charity manages the investment of the CRT, but the investment could be managed by the donor's Investment Advisor.

The donor appreciates that a professional methodology of obtaining such an income flow is now being taken from their hands and placed in others, which may be capable of obtaining a higher return with relatively low risk. Moreover, the donor, depending upon the facts, may have the opportunity of receiving a donation receipt immediately upon transfer to the trust. Particularly with the movement of the donations limit to 75% (100% for Quebec purposes), this could enable the donor to realize substantial tax savings today in relation to the disposition of property that effectively they will be living on the rest of their life. Lastly, costs of probate are avoided.

Realization for Tax Purposes

As a CRT is a trust like any other, any property transferred to the CRT will be deemed to have been disposed of for tax purposes. This may result, depending on the value of the property and its ACB in a capital gain or loss.

How does one determine what are the proceeds of disposition of the property or the value of the gift in order to calculate a donation receipt? Legislation is not offered to determine the methodology for computing the gift, and thus basic logic must be used. As the donor is maintaining a life interest, the length of that life is very important in determining the value of the gift. Obviously, the older the donor, the fewer years in which income will be received by the donor and the sooner the Qualified Donee will receive the gift for full use.

The discount rate is more difficult to determine. Should one use CRA's prescribed rate? Perhaps, but from an economic point of view this may not be quite accurate. Probably the best discount rate to use is the Bank of Canada investment rate for the period of mortality. What this means is, if mortality is two years, then the discount rate could be the Bank of Canada investment rate for two years. If mortality is thirty years, the Bank of Canada thirty-year investment rate could be utilized. This methodology is fair and probably would be accepted by CRA. CRA may have some difficulty in determining discount rates for property that is not cash or similar to cash, e.g. business assets.

To calculate the proceeds of the disposition, take the full value of the property at the date of transfer to the trust and discount this value by an interest rate (discount) factor using mortality as the number of years in the calculation. The result would be the proceeds of the disposition and this amount would be the donation receipt for the donor.

EXAMPLE: Calculation of a CRT Gift

Assume the following:

- *$100,000 transfer*
- *Male donor, age 78*
- *A 10 year mortality*
- *Assume bank of Canada interest rate on a 10 year security is 3%*
- *Present value of $100,000 discounted at 3% for 10 years is $74,409.*

Thus, a charitable donation receipt of $74,409 is received by the donor to be used immediately on the donor's tax return.

To calculate the resulting capital gain or loss, one must also determine the ACB of the property transferred. Presumably, the asset would have an ACB that is known. If the value of the property is $100,000 and the gift or proceeds of disposition is determined to be $60,000, 60% of the actual value of the property, then one would apply 60% of the ACB as the cost base for the remainder interest of the property which has been transferred to the trust. The rest of the ACB would effectively be the ACB attached to the life interest that is being maintained in the trust.

Conclusion

The CRT is an excellent charitable giving tool. The options available are many. The trust can choose to invest with the charity's other assets. The trust can invest on its own and follow the investment policies of the donor. The assets transferred can vary. They can be cash, marketable securities, real estate, or even a business. The CRT set up in a will does not, due to a technical anomaly, create a tax receipt on death; therefore, CRTs should only be established inter-vivos.

CHAPTER 7

GIFTS OF RESIDUAL VALUE

Who should use them?

Gifts of residual value are perfect for donors who will leave more to charity upon death than they need from a tax perspective – often, donors with no children. Like a CRT, gifts of residual value create a receipt that can be used during the donor's lifetime.

Very similar to the CRT, the gift of a residual interest contemplates the transfer of an asset, not necessarily to a trust governed by the Qualified Donee, but directly to the charity. In this case, there will be no income allocated during the lifetime of the donor, but instead the use of the asset will be available to the donor and perhaps other members of the family for life. For example, if a donor wishes to transfer his principal residence to a Qualified Donee, he could do so as a gift of a residual interest. The use of the home for the rest of his and his spouse's life will be kept by the donor. On the death of the donor and the spouse, the charity will then have the full use of the house presumably to be sold at that time for cash.

The reason the donor would enter into a residual interest gift (besides the act of charity), is to receive a donation receipt immediately, even though the actual use of the asset will be available for life.

Like the calculation of the donation receipt for the CRT, one would examine, at the date the gift is made, the value of the property transferred, the mortality of the users of the property, and a discount rate based on market interest rates at that time.

This type of gift would create a deemed disposition for tax purposes. Similar to the CRT, it is not the complete asset that has been disposed of, but just the residual or terminating interest of the property. The life interest in the property has been retained. The calculations in determining the proceeds of disposition and allocation of ACB are identical to that found for CRTs. What is key to this gift, again like CRTs, is that the gift must be transferred irrevocably to the charity to issue a charitable donation receipt to the donor.

There are very few types of assets where gifts of residual property would occur. Typically, we are talking about personal use assets such as a principal residence or artwork. From a tax point of view, the principal residence residual gift transfer can make a lot of sense, given the fact that usually there is no need to recognize the capital gain on the deemed disposition of the residual interest. The reason for this is the special exemption from capital gains tax for properties that are principal residences.

If this is the case for the donor, then the transfer to the charity will not result in a taxable capital gain but the receipt would still be calculated in the normal manner and thus the opportunity for substantial immediate tax savings would occur.

EXAMPLE:

Mrs. Schwartz, a widow, age 82 has decided to leave her condominium to a Qualified Donee. The condo is valued at $350,000; the original cost was $200,000.

Assume the following:
The condo is a principal residence for length of ownership.

Mortality	*10 years*
Discount Rate	*3%*
Value of Condo	*$350,000*
Present Value of Gift or Residual Value	*$260,433*

Mrs. Schwartz will continue to live in the condo, or a replacement residence for her lifetime. She will pay all associated property taxes, insurance and maintenance costs.

She will receive, immediately, a receipt of $260,433, which can be used to save tax on her current tax return. Any unused receipt can be carried forward five years.

In the case of a principal residence transaction, the charity would want to ensure that if the donor and the spouse are going to use the property, that the donor contract to pay all costs in relation to the upkeep of the home. These would include the property and school taxes, insurance costs, maintenance costs and other costs associated with maintaining the home. The nature of the gift would be set out in a deed of gift evidencing the transfer of the property to the charity, evidencing the right of the donor and other specified individuals to use the properties for their lifetime and setting out the donor's responsibility for the costs of the upkeep of the home. It is noted that the gift provision could indicate that if the donor is still alive, they may have the right to have the house sold by the charity and replaced with another home to the extent of the proceeds received from the sale of the first residence. The donor would continue to live in the second residence for their lifetime.

This type of gift can be achieved for other properties, e.g., artwork. The legal title to the artwork would be transferred to the charity, but the right of use for lifetime would be kept by the donor. In this case, the donor would be responsible for the maintenance and insurance costs. The value of the gift would be calculated in the same manner as above. However, because artwork is taxable, any gain realized due to the residual transfer of the artwork would be taxable to the donor.

CHAPTER 8

GIFTS OF CAPITAL PROPERTY

There are two components to a gift of capital property. The first is to determine the value of the property for the purposes of issuing a charitable receipt. The second is that one is deemed to have disposed of the capital property for proceeds equal to the value of the property.

This deemed disposition provision obviously will not have any effect where ACB of the property equals the FMV. When this is not the case, the possibility of a capital gain arises.

50% or 66.67% of the capital gain is taxable. There are effectively two ways to offset the taxable capital gain, the first being to utilize the tax receipt against that income, the second via an election.

Who should use them?

Gifts of corporate capital property create capital gain, but also create a capital dividend account. They represent, then, a way to reduce the value of the company for estate tax purposes.

As discussed in chapter 2, The Act does allow the donor to use the receipt to the extent of 75% (100% for Quebec purposes) of income created or 75% of any taxable capital gain created, plus an extra 25% of the taxable capital gain created on the transfer of property to the charity plus 25% of any recapture realized. Thus, 100% of the taxable income will be offset by the donation credit in the case of individuals or the donation deduction in the case of corporations.

Election

Using an election available in The Act, a method exists to avoid the capital gain on disposition. The Act allows for an individual to elect his proceeds of disposition for purposes of calculating the capital gain on the deemed disposition to be anywhere between the ACB of the property gifted and its FMV. This had real value when the donation limits were only 20% without a bonus for capital gains and recapture realized on the disposition of the property to a Qualified Donee. In these cases, it was very possible that the income added to a tax return could have been far greater than the donation receipt that was usable in the year. On a cash basis, taxes were paid in the year of the gift. With the new donation limits this situation should not occur. There is no prescribed form for the election. The donor should include a letter with their tax return in the year of the gift. The donor should specify that the election is being made pursuant to subsection 118.1(6) of The Act for individuals or 110.1(3) of The Act if the election is made by a corporation. Note that the charity will issue the receipt based on the full value. Only the elected amount will be used to calculate the donation credit or deduction.

This election is rarely used, but with the increase in the capital gains inclusion rate to 66.67% as of June 25th 2024 and the AMT changes to donations, it is possible that this election will be more popular.

Capital Property in the Hands of the Charity

The new donation limit rules will, in some cases, make it preferable to donate capital property to the charity rather than selling the property, and donating the cash. The reason is the additional 25% of taxable capital gain donation limit. The donor should ensure, however, that the charity is capable of disposing of the property to receive the proper amount of proceeds. Often, the charity does not have the staff available and knowledge enough to deal with all aspects of the sale. Often, the donor should help the charity with the disposition to ensure that the ultimate gift is as high as possible.

Subsection 69(11)

When a donor transfers appreciated capital property to a charity, they might elect, under the provisions of subsection 110.1(3) of The Act or 118.1(6) of The Act to reduce the proceeds of disposition. Subsection 69(11) of The Act requires that where a taxpayer is taking advantage of a tax rollover to transfer property lower than at FMV to a tax exempt entity, then it is necessary for that entity to hold on to the property for a three year holding period.

If the property were sold within the three-year period, then the presumed capital gain that was not realized by the donor or taxpayer on the original transaction would be realized at that time. This provision, could, on a technical basis apply to transactions where donors have elected for lower proceeds on disposition, due to the fact that a charity is a tax-exempt entity.

In discussions with the Office of the Minister of Finance, they indicated that they will not apply subsection 69(11) of The Act to a transfer of capital property where the subsection 118.1(6) of The Act election has been made, unless they feel that the objective of the donation was not bona fide. This would be the case where property is transferred to a charity, an election to lower proceeds upon disposition occurs, and then the charity disposes the property back to the donor or to an entity which they control.

Another situation where subsection 69(11) of The Act might apply is where property is transferred to the charity and then the charity rents out the property to the donor or an associated entity. If one is planning a substantial transaction where the election will be used, one should check with CRA to ensure that subsection 69(11) of The Act is not applicable.

EXAMPLE:

Mrs. Jann transfers capital property; land, to a Qualified Donee. The original cost of the land was $80,000; the value today is $200,000. Mrs. Jann has an allowable capital loss carry forward available of $60,000.

Proceeds	*$200,000*
Cost	*80,000*
Capital Gain	*$120,000*
Taxable Capital Gain	*$60,000*
Utilization of Loss Carry Forward	*(60,000)*
Taxable Income	*0*
Use of the Charitable Receipt	
75% of net gain (75% of 60,000)	*$45,000*
25% of Taxable Capital Gain	*15,000*
	$60,000
Receipt Received	*$200,000*
Receipt Carried Forward	*$140,000*

**Note: If Mrs. Jann has no other income she would probably choose not to use the majority of the receipt. A charitable tax credit cannot create a tax refund; it can only reduce taxes payable to nil, and then be carried forward for 5 years.*

Tax Shelter Legislation
Subsection 248(35) of The Act was enacted to counteract donation tax shelter schemes where property was purchased at a value and then donated at a much higher value. It unfortunately is broad enough to catch some donations without such intentions.

Where a donation of property is made, subject to exceptions, if the property was purchased within three years of gift, or within ten years if one of the main intentions at purchase was to donate it, then the donation receipt to be used will be limited to the lower of the ACB of the property or its FMV at the time of gift.

Exceptions to the above rule include the donation of listed securities, inventory, ecological land, and Canadian Cultural Property. What about private company shares and real estate? (See chapters 10 & 11 for more details). There is only partial relief. Gifts of real estate located in Canada are exempt; but foreign real estate is not. Gifts of private company shares are exempt, but only if the donor or a related group controls the corporation and deals at arm's length with the Qualified Donee.

Capital Dividend Account
If a Canadian corporation has made a gift of capital property and a capital gain has been realized, a portion of the capital gain would not be taxed. If 50% of a gain is taxable then 50% is not taxed and inlcuded in the CDA. If the inclusion rate for a gain, either personally for gains over $250,000 a year, or corporations is 66.67 % then the CDA addition is 33.33%.

The amount not taxed enters the corporation's Capital Dividend Account ("CDA"). Dividends paid out of the CDA are received tax-free by the shareholders. Thus, a corporate gift of property can result in a taxable capital gain but also a CDA, which can be very valuable.

CHAPTER 9

GIFTS OF MARKETABLE SECURITIES

The Act provides that any gain realized on the donation of marketable securites will not be taxed. For example, if a donor transfers shares of TD Bank to a charity, a tax receipt equal to the value of the TD shares is issued. If the normal capital gain would be $80 given a value of $100 and an ACB of $20, normally half of the $80 or $40 would be taxable. Under this rule, nothing would be brought into income. The rule applies to securities listed on prescribed stock exchanges, which includes all of the Canadian stock exchanges, as well as stock exchanges in the U.S. and select other countries. Mutual funds based on public securities are eligible. Flowthrough mining shares as of 2012 are not eligible (more details on MFT can be found in chapter 19). If the donor is a corporation, the complete gain not taxed (100% of the gain) goes into a corporation's CDA.

Who should use them?

Gifts of marketable securities can be useful for any individual. They are also particularly effective for reducing the value of corporations who face estate taxation. The corporation's value is reduced by the gift and the capital dividends account created also reduces the value of the company. A great tool to reduce estate tax!

How to Transfer Marketable Securities
Generally, investors hold marketable securities in two forms. Either they have securities in their name or they own the securities via a broker without the security certificate in their particular name. To gift a security certificate with the donor's name, the donor would endorse the security certificate and transfer it to the charity. Usually a local confirmation of the signature is required. A donation receipt will be issued for the FMV of the security at the date of the gift.

Normally, the securities are held in a brokerage account and therefore there is no need to transfer the actual certificates. In this case, the donor would direct their broker to transfer the securities into a new account in the name of the Qualified Donee. The receipt will be issued based on the value of the securities transferred at closing. To set up an account in the name of the Qualified Donee the broker will probably have the charity authorize the creation of the account.

Refer to the section on Charitable Remainder Trusts (chapter 6) for an examination of using a trust to transfer marketable securities or other capital property to a charity in order to enhance current income of the donor. It is important to note that transferring marketable securities to a CRT will not be eligible for the reduced inclusion rate as a CRT is not a charitable organization, even if the charity is a trustee under the CRT.

Partnership Interests
Beware the gift of a partnership interest that is capital property. For example, a limited partner in a real estate partnership may choose to donate his interest in the partnership and realize a capital gain on the transfer. His intention is to avoid recapture on a sale within the partnership. Unfortunately, section 100 of The Act will add income to the capital gain negating the plan.

EXAMPLE:

Mr. Levin donates $100,000 of Royal Bank stock to a Qualified Donee. His original cost is $50,000. His alternative is to sell the stock himself and donate $100,000.

	Stock Donation	*Stock Sale*
Proceeds	*$100,000*	*$100,000*
Cost	*50,000*	*50,000*
Capital Gain	*$50,000*	*$50,000*
Taxable Capital Gain	*$25,000*	*$25,000*
Special Exemption	*(25,000)*	*$0*
Net Income	*$0*	*$25,000*
Taxes payable 50%	*$0*	*$12,500*
Tax Receipt	*$100,000*	*$100,000*
Tax Savings	*$50,000*	*$50,000*
Net Tax Savings	*$50,000*	*$37,500*

CHAPTER 10

GIFTS OF PRIVATE COMPANY SHARES AND DEBT

The Act sets out a methodology of taxation of gifts of private company shares and debt in circumstances where a "Non-Qualifying Security" is gifted. The Act defines a Non-Qualifying Security as an obligation of the individual (or a person not at arm's length with the individual), a share issued by a corporation with which the individual does not deal at arm's length or any other security issued by the individual or non-arm's length person. Specifically exempted from the rules applicable to "Non-Qualifying Securities" are obligations, shares and other securities listed on prescribed stock exchanges and deposits of financial institutions. Thus, a gift of private company shares where the donor or member of his immediate family - parent, spouse, or child (including grandparents, in-laws and grandchildren) - controls, or as a group controls that corporation, would be considered a gift of a Non-Qualifying Security. However, even many of these gifts will also be exempted from the rules.

Excepted Gift

An excepted gift is a gift of a share to an arm's length charity that is not a private foundation. The donor must be at arm's length with the directors and officers of the charitable organization or public foundation to which the gift has been made. Therefore, a gift to a public charity will be considered an excepted gift as long as the donor is not an officer or a director of that charity or if that donor is not the parent, spouse or child (including grandparents, in-laws and grandchildren) of a director or officer of the charity.

Who should use them?

Because these shares are taxable at death, they make extremely tax-effective gifts in the will of any donor who holds them and greatly reduce estate tax liability. They are also excellent for donors looking to offset tax on an anticipated large transaction. Redeeming preferred shares can result in an immediate tax saving, avoiding capital gain tax at death and possibly receiving a dividend refund. Gifts of private company shares may be perfect for elderly donors who have built up RDTOH.

Most gifts of private company shares to public charities should not be affected by the rules unless this non-arm's length provision comes into play. It would be necessary for a donor to resign from the board of the recipient organization prior to making the gift. Since it is often the volunteers of a charity who feel most passionate about donating, this can cause problems.

Gift of a Non-Qualifying Security

If such a gift is made to a private foundation or, in some cases, to a non-arm's length public charity, then the gift will be ignored for the purpose of the charitable donation tax credit. This doesn't mean that the disposition for tax purpose hasn't occurred because it will have. If the charity disposes of the security within five years or if the security ceases to be a Non-Qualifying Security of the individual in the five-year period, the individual will be treated as having made a gift at that later time. The disposition of the security could occur by the corporation redeeming the gift or buying back the shares from the charity for cash. For example, if the gift was 100 preferred shares worth $1 million and three years after the gift, the corporation redeems those shares for $1 million, and then the charity has disposed of the security. If instead, a donor "sells out" so that he is no longer at non arm's length with the company, then the shares owned by the charity at that point would no longer be Non-Qualifying Securities and, therefore, the donor would be deemed to have made the gift at that time.

The gift made at that later time will be deemed for purposes of the charitable donation receipt to be the lesser of two amounts - (1) the FMV of the gift at the original transfer and (2) the FMV of the shares at the time when the securities are no longer Non-Qualifying.

Reserve Mechanism

What appears as quite onerous rules are not quite so bad. First, when the original gift is made and perhaps a capital gain is realized, the taxpayer will be entitled to take a reserve against that capital gain. In essence, the reserve will continue to be taken on a year-in, year-out basis until, within the subsequent five-year period, the gift will be deemed to be made because of a disposition of the Non-Qualifying Security by the charity. Thus, if in year three, the security has been disposed of by the charity, the donor will be deemed to have made the gift in that year. The original capital gain, reserved for the first two years, would be effectively taxable in year three, as no reserve would be allowed then. However, the donation receipt would be available in year three to shelter the capital gain. Of course, one only has five years to dispose of the security and thus, it is possible that the gift will never be deemed to have occurred. Even in this case, the charitable tax consequence of having the taxable income, due to the disposition, realized without an offsetting tax receipt, will still not occur.

Once the five-year period is up, under the new reserve mechanism it would no longer be necessary to bring the reserved deduction back into income in year six. Thus, in essence, the capital gain would fall off the table never taxed just as the donor will never receive a tax receipt for the gift of shares.

Death

If within the five-year holding period, the taxpayer dies and the actual disposition of the Non-Qualifying Security takes place after death, then it would appear that the realization of the gift will occur without the possibility of the deceased being able to use it on a tax return. As a result, this special provision has been enacted which will treat the subsequently resulting gift as having being made by the individual in the year of death rather than at the actual time of the disposition of the Non-Qualifying Security.

Elections
The Act allows a taxpayer to elect that his proceeds of disposition could equal an amount somewhere between his ACB of capital property gifted and the FMV. This election is still available for gifts of Non-Qualifying Securities and could be made either at the time of the original gift or at the time of the disposition of the Non-Qualifying Security.

Loan backs
There is particular legislation dealing with loan backs. First, it is noted from the above review that a non-arm's length debt of a corporation is considered to be a Non-Qualifying Security and an excepted gift does not include such a gift to a public or private charity. Thus, a gift of debt would be subject to the new rules and thus, the only way to receive a tax receipt would be if within the five-year period the debt would be redeemed for cash. Loan back legislation comes into play when an individual makes a cash gift and separately the charity holds a Non-Qualifying Security of the individual within five years thereafter, and the charity acquired the security no earlier than five years before the gift was made. In this case, the gift of the individual will be reduced in value by the amount of the acquisition of the Non-Qualifying Security.

To illustrate, assume an individual makes a $100,000 gift to a charity and then a year later the charity loans $100,000 to a corporation not dealing at arm's length with that individual. Since the holding of the debt of the corporation has occurred within five years from the gift, the donation receipt issued by the charity on the original $100,000 gift must be reduced by the $100,000 that the charity paid to invest in the debt of the corporation. To deal with timing mechanisms, if the then charity purchased the debt prior to the gift, then this provision would also catch the transaction. To take another example, if the charity loans a corporation $100,000 and subsequently (within five years) an individual not dealing at arm's length with that corporation makes a $100,000 gift to the charity, then the receipt would be reduced by $100,000.

If a gift is received by a charity and the donor or non-arm's length person uses property of the charity within five years of that original gift, then the value of the gift will be reduced by the value of the property. For example, if a gift of real estate is made and then subsequent to the gift the individual making the gift or his non-arm's length corporation uses the real estate, then even if it pays FMV rent, the value of the gift could be reduced.

Gifting Non-Qualifying Securities to Public Charities
It is clear that except for gifts of debt, the gift of private company shares is fully acceptable to public charities (charitable organizations and public foundations). The only difficulty lies with the special rule that the donor must be at arm's length with the directors and officers of the public charity. Of course, being a member of a Board of Directors of a charity does not constitute in itself the ability to control a charity.

However, the fact that a potential donor of private company shares is a member of the Board would make any shares transferred count as Non-Qualifying Securities. Thus, it appears necessary that the Board member resign prior to the gift. If the charity still owns the shares five years after the original gift, then the donor can come back onto the Board of Directors at that point in time.

Note that it is not just the donor that may not be a Board member, but also anyone related to him/her including children, parents or spouse (including grandparents, in-laws and grandchildren) for purposes of The Act. In addition, the term that is used in The Act is "not at arm's length" which is more than simply family relations. It is a question of fact whether one does not deal at arm's length with another person or entity. Thus, if it could be shown that a donor controls the charity without being on the Board or has undue influence, then CRA may determine that such a donor does not deal at arm's length with the charity.

These rules will also apply if the private company shares are gifted in a will.

Gifting Non-Qualifying Securities to Private Foundations
The gifting to private foundations is not quite as liberal as it is for public institutions. A gift of a Non-Qualifying Security itself does not result in an adverse tax result immediately or in the future due to the reserve mechanism. To achieve this, one may elect pursuant to Subsection 118.1(6) of The Act, to ensure the disposition will not result in a capital gain. What is lost by donating to a private foundation is the extra ability to use a donation receipt in excess of the taxable capital gain realized on the transaction.

In the case of low ACB shares where effectively 50% / 66.67% of the value of the gift would be converted into a taxable capital gain, the loss would be the fact that 100% of the value of the shares would be subject to a receipt and, therefore, there may be a 50% loss in terms of extra credit available.

In an estate-planning situation with low ACB shares, the ability to roll these shares either inter vivos or via will to the private foundation without adverse tax treatment, appears to be still quite beneficial.

High Cost Base Shares
With shares to be gifted with a high cost base normally one would expect that a full receipt would be useable by the donor and the resulting capital gain would be either non-existent or quite minor. In this case, the donor would expect significant tax savings.

If these shares were Non-Qualifying Securities, a receipt would not be issued unless the shares were disposed of within five year after the gift. It is in this particular case that the gift to private foundations would be limiting.

The shares in the example are high ACB shares, albeit with low PUC. This low PUC would mean that on redemption of the shares, although no capital gain would arise due to the high ACB, a taxable dividend would result. These shares typically sit on the balance sheet. If an individual gives these shares to a public or private charity followed by redemption of the shares they may have reduced the cost of the donation significantly.

Another example of the use of preferred shares: Corporation A has realized $1 million of taxable income and wishes to eliminate the tax on this income. It purchases $1 million of preferred shares of Corporation B, another company in the group. Subsequently, it gives the shares of Corporation B to a public charity. The charity issues a $1 million receipt to Corporation A (assuming a valuation has confirmed the value, and it is an Excepted Gift). If, for example, the preferred shares were 3.5% cumulative, Corporation B would remit $35,000 as an annual dividend to the charity. An annual dividend to the charity (the dividends are not taxable to the charity, but are considered "taxable dividends") paid by Corporation B and may result in a dividend refund (Note that if one of the main objectives of a transaction with a tax-exempt charity is to obtain a dividend refund, CRA has the right not to pay the refund. Beware of transactions where large dividend refunds are expected). The preferred shares may be redeemed over time and/or funded by life insurance.

The numbers here work very well to create philanthropy efficient for both taxes and finances.

Estate Planning

The advent of these rules does confirm numerous estate planning possibilities that could occur regarding the ownership of private company shares.

EXAMPLE:

If Mr. A gifts 50,000 preferred shares, worth $50,000, to a charity, and the company subsequently redeems the shares for $50,000, the following will occur:

Assuming a $50,000 cost base and a nil paid-up- capital Mr. A will receive a $50,000 charitable receipt which will save him $25,000 of tax.

Mr. A is $25,000 richer as it is the company which is remitting $50,000 to the charity via the redemption of shares.

Due to the low PUC, the redemption will result in a dividend to the charity. The charity, of course, is exempt from taxation on its income. The dividend, however, is considered real to the payer corporation and it may be eligible for a dividend refund. (Note that if one of the main objectives of a transaction with a tax-exempt charity is to obtain a dividend refund, CRA has the right not to pay the refund. Beware of transactions where large dividend refunds are expected.)

In summary, the corporation has paid $50,000 and the shareholder has received $25,000. Normally, via a dividend, the corporation would spend $45,500 for the shareholder to retain $25,000 after the payment of personal tax on the $45,500 dividend.

Thus, for only an additional corporate cost of $4,500 a donation of $50,000 has been achieved. The "cost" of the donation is 9%. If a dividend refund is received on a dividend, then the cash outflow on the gift is nil.

Conclusion

The gifting of private company shares (but not debt) is viable. Even if it is not a perfect system, this should be a major area for development in the near future.

What is clear is that the parameters surrounding a gift of private company shares is much more complicated than other gifts. It is cautioned that proper legal and accounting advice be sought from both the point of view of the donor and the charity when these gifts are affected.

CHAPTER 11

GIFTS OF REAL ESTATE

Generally, an outright gift of real property to a public charity entitles the donor to a charitable contribution deduction or credit equal to the FMV of the property. There are estate planning possibilities in the transfer of real estate to a charity and these possibilities are examined in chapter 13 on Individual Estate Planning. For the most part, what makes the gifting of real property a little more complicated is the special tax effects.

There are no special tax incentives for gifting real estate. Thus, there is typically no difference whether one gifts real estate or sells the real estate and gifts the cash. There are two tax aspects upon the sale or gifting of real estate. The first is the calculation of capital gain on the property whereby the proceeds upon disposition or the deemed proceeds of disposition upon the gift will be compared to the original cost of property or of the land to determine if there is a taxable gain realized. The second part, which is a bit more complicated, is that during this time it was treated as a business asset. Depreciable property is depreciated (capital cost allowance is taken on it) in order to reduce annual net income from the property. Thus, on an annual basis, the original capital cost of depreciable property is reduced by capital cost allowance and every year a new UCC is formed. Upon sale, death, or gifting of the property any capital cost allowance that was taken is reversed, if the proceeds of the disposition are greater than the UCC at the time of the tax transaction.

For example, if a building, which originally cost $100,000 was depreciated so that its UCC was $60,000 and if the sale or gift were valued at $120,000, there would be two separate tax transactions. The first is to compare the proceeds to the original cost of the building, $100,000. A $20,000 capital gain would be realized. The next would be to take the original cost – $100,000 – and compare that to UCC of $60,000; $40,000 of recapture will be realized. Whereas 50% of capital gains are taxed, 100% of recapture is taxable. The donation receipt can be used to offset all capital gain and all recaptured depreciation.

EXAMPLE:

Mr. Cohen wishes to donate an apartment building to a Qualified Donee. The building was purchased in 1975 for $300,000. $270,000 is allocated to the building and $30,000 to the land. Today the value of the building is $1,000,000, of which 20% is allocated to land. The UCC of the building is $50,000. Charitable Gift Receipt: $1,000,000

Tax Effects	***Land***	***Building***	***Taxable Income***
Disposition	*$200,000*	*$800,000*	
Original Cost	*$30,000*	*$270,000*	
Capital Gains	*$170,000*	*$530,000*	*$700,000*
Taxable Capital Gains			*$425,000 ($250,000 x 50% plus $450,000 x 66.67%)*
Original Cost		*$270,000*	
UCC		*$50,000*	
Recapture		*$220,000*	*$220,000*
Total Taxable Income			*$645,000*

Donation Limits	
Charitable Gift Receipt	*$1,000,000*
75% of net income	*$483,750 (75% x $645,000)*
25% of tax capital gain	*$106, 250 (25% of $425,000)*
25% of recapture	*$55,000 (25% x $220,000)*
Receipt Used	*$645,000*
Available for Carry Forward	*$355,000*

CHAPTER 12

GIFTS OF ART

There are two distinct tax mechanisms for gifts of art. One involves a gift of Canadian cultural property that is governed by the Canadian Cultural Property Review Act of Canada. Where these art pieces are donated the gift will not result in a disposition for tax purposes and therefore, no capital gain will be realized. The donation receipt at FMV is useable against 100% of income. Unused receipts can be carried forward ten years, rather than the normal five.

Most art donations made to the majority of registered charities within the system would not be subject to the Canadian Cultural Property Review Act of Canada and would be subject to the normal disposition rules for capital property. Thus, capital gains will arise on disposition and a full donation

receipt will be received for the FMV of the art. Bona fide appraisals must be done in order to issue a proper donation receipt. It is noted that, unless part of a business, art is considered personal use property for the purposes of the The Act. This means that although capital gains will still be taxable, capital losses arising from the disposition of personal use property cannot be applied against other capital gains, only against capital gains arising from personal use property. Another rule which one may take advantage of is that personal use property, regardless of the ACB or FMV, is deemed to have proceeds of a minimum of $1,000 and a minimum ACB of $1,000. Therefore, a gift of art that is valued at $1,200 which costs $500 would be deemed to have an ACB of $1,000, proceeds of $1,200 and a $200 capital gain would result.

Some taxpayers own vast collections with numerous pieces of art e.g. etchings, where the value of each piece is not great, but the value of the entire collection is substantial because of the numerous pieces. Using this deemed $1,000 ACB can create a situation where no or very little capital gain is realized but the donation receipt received is based on the FMV of all the art. Note that although deemed proceeds are a minimum of $1,000 for personal use property, if the value of the property is only $600, the donation receipt will only be $600. However, the $1,000 deemed ACB and deemed proceeds of disposition will not apply for property acquired after February 27, 2000, as part of an arrangement in which the property is donated as a charitable gift.

Who should use them?

Owners of art should be aware that obtaining Canadian Cultural Property Status will result in the best tax treatment.

EXAMPLE:

Mr. Moscovitz wishes to give five pieces of art to a Qualified Donee. Values and original costs are described below.

Charitable Receipt	*$9,200*
Taxable Capital Gain (50% x $4,000)	*$2,000*

Artwork	***Value***	***Cost***	***Deemed Proceeds***	***Deemed Cost***	***Capital Gain***
#1	*$3,000*	*$2,000*	*$3,000*	*$2,000*	*$1,000*
#2	*$4,000*	*$500*	*$4,000*	*$1,000*	*$3,000*
#3	*$800*	*$900*	*$1,000*	*$1,000*	
#4	*$900*	*$100*	*$1,000*	*$1,000*	
#5	*$500*	*$100*	*$1,000*	*$1,000*	
	$9,200			*$6,000*	

CHAPTER 13

INDIVIDUAL ESTATE PLANNING

Canada does not levy succession duties (estate taxes). However, The Act does provide for deemed dispositions on death of the individual's assets. For married couples (including common-law spouses), taxation on deemed disposition is left for the second death. There is a tax rollover available for assets left for the spouse. For assets not left to a spouse in this way, the disposition may be particularly onerous for those who hold real estate as not only taxable capital gains will be realized but also recaptured depreciation.

Further, the value of RRSPs or RRIFs not left to a spouse will be brought into the tax return on death. That can also result in an onerous tax. Please refer to the chapter 16 on RRSP Gift Planning.

Two major factors contribute to the merger of gift planning and estate planning. The first is that The Act provides for a donation limit of 100% on death. Donations can be utilized to offset 100% of the income on the final tax return which is dated at the date of death and 100% of the income realized in the year prior to death. Donation can also be claimed by the estate (see chapter 3).

The second factor is that estates can make donations after death which can be moved into the final tax return of the deceased and therefore reduce or eliminate the taxes payable at death.

Wealth Replacement Life Insurance
The insurance technique can be worked in reverse. If appreciated assets are owned, that do not need to be maintained in the family, the asset can be gifted to a Qualified Donee pursuant to the will. Insurance can be purchased to replace the asset for the benefit of the family (see chapter 4).

Utilizing the Corporation
If insurance is to be used to fund a gift or to replace other wealth gifted by the family, the corporation may be the best place to hold and own the insurance policy.

EXAMPLE:

Mr. and Mrs. Cohen own a vacation condominium (acting as a second residence) valued at $500,000. Its original cost was $100,000. They have three children; none of whom would like to keep the property. They prefer cash. In their will, on a last-to-die basis, the Cohens bequeath the property to a Qualified Donee.

The Cohens purchase a last-to-die insurance policy for a face value of $500,000.

On death the gift receipt issued by the Qualified Donee will more than offset the taxable capital gain realized upon death. In fact, the excess receipt can reduce other taxes payable. The estate, and therefore the children, will receive $500,000 of cash, free of tax. Again the family will receive greater after tax proceeds and a terrific gift for the community has been realized.

Insurance proceeds on death are received tax-free by the corporation but are not included in the value for deemed disposition purposes on death of the shares of the company. Upon receipt, the insurance proceeds can be flowed-through to the beneficiaries tax-free via the CDA, created by virtue of the insurance proceeds. An examination of corporate and estate planning techniques is found in chapter 14.

Summary
The objective of combining estate and gift planning is to recognize the potential for tax, and use gift planning to reduce the tax bill while making a gift. The planning will only work with charitable intent. One can replace tax liability with donations, but in the end, the gift will reduce family wealth, even if the "cost" of the gift is reduced by the planning.

CHAPTER 14

CORPORATE ESTATE PLANNING

Corporate Shares
The shares of private corporations remain one of the largest potential causes for capital gains taxes on death. Further in this chapter, we will examine methods to reduce the value of these shares.

Alternatively, in some situations we might consider an outright gift of the shares. For estate planning purposes, one might consider the gift of preferred shares with a low ACB in order to avoid the death tax on the shares. This topic is described in chapter 10.

The Private Company
The ability to pay tax-free intercorporate dividends, tax deferral and corporate limited liability have led to the frequent use of private companies in Canada. Owners of operating companies ("OPCO") wishing to protect excess earnings transfer the ownership of their shares in OPCOs to newly incorporated holding companies ("HOLDCOs") which became the parent companies of the OPCOs.

HOLDCOs may receive tax-free dividends from the OPCOs. The movement of wealth to the HOLDCOs allows for a separation of assets from the OPCOs. If ever a business setback would occur in OPCO, wealth would still be kept separate in HOLDCO. Usually HOLDCOs are used for diversification; perhaps holding real estate or investing in the stock market. Many Canadians have their wealth tied up in these HOLDCOs.

The Tax Problem
Unlike the US, Canada does not impose succession taxes. However, The Act does impose a deemed disposition of assets upon death, or if left to a spouse, on the spouse's death. This disposition results in tax paid on assets that have appreciated in value over the course of ownership by the deceased. The basic exception to this disposition occurs if the assets in question will be transferred to the spouse or a spousal trust. Thus, tax is imposed on the death of the second spouse. Since many Canadians maintain their wealth within HOLDCOS, the advantage of tax deferral comes full circle upon death. All that value within HOLDCOS and OPCOS becomes taxable. For those that have amassed incredible wealth, as they pass away, will be left with huge tax bills. Our Canadian charities recognize this problem and offer a means to mitigate this problem.

The Theoretical Solution
The key lies in how The Act reads in prescribing when to calculate the deemed disposition. The Act prescribes that the deceased be deemed to have disposed of their assets immediately prior to death. The proceeds of disposition is equal to the FMV of the property immediately before the death. The solution would therefore be to reduce the value of assets before death and to replace the capital with assets received after death. The charity will help the donor reduce the value of assets prior to death and insurance will be used to replace the capital after death.

Insurance proceeds received upon death are received tax-free. If a corporation owns a policy at the time of death, the proceeds from the policy will not be included in the value of the deceased's shares for deemed disposition purposes as the policy is not payable immediately prior to death. CSV is attached to the policy, this CSV will be included in the value of the shares for deemed disposition purposes.

A gift to a Qualified Donee from the company during the donor's lifetime will reduce the value of the shares upon death. Replacing the gift with insurance will convert a taxed asset on death into a nontaxed one, as described in the following example:

EXAMPLE 1:

Mr. Caplan owns Company M, a holding company used to own a diverse group of assets. Its value is $10,000,000. His shares have a nil ACB and the company earns $500,000 a year. On death, Mr. Caplan's estate would remit capital gains tax on the $10,000,000 value of the company. Company M donates $1,000,000 to the Jewish Community Foundation ($250,000 a year for four years). Over the four-year period, the company will save $500,000 of tax. With a portion of the tax savings, the company purchases a $1,000,000 insurance policy on the life of Mr. Caplan (premiums costing $60,000 per year).

Results

1. *A $1,000,000 gift is made to a Qualified Donee from which the charity will make Mr. Caplan's charitable gifts for the rest of his life. Assuming a 5% distribution policy, the Qualified Donee will make $50,000 of donations annually, based on the advice of Mr. Caplan.*
2. *A The tax savings less the insurance premium cost creates a net profit.*
3. *One million dollars is removed from the company balance sheet reducing its value for purposes of deemed disposition on death.*
4. *A million dollars of insurance proceeds are received after death tax-free (and not included in the deemed disposition except for the CSV of the policy).*
5. *The beneficiaries receive the insurance proceeds personally tax-free to the extent of the CDA created by the life insurance proceeds.*

Insurance

If a corporate insurance policy is treated as an investment the estate gift planning possibilities are extended.

EXAMPLE 2:

Mr. Abitbol has his corporation purchase a universal insurance policy as described below:

The premiums are $180,000 a year for three years or $540,000.The policy is set to pay a death benefit of the premiums plus a 4% return plus $500,000.

On death the premiums are repaid/cashed in and if the death occurs in say 20 years $1,571,000 will be received evidencing a 4% after-tax investment. In addition $500,000 will be received tax -free by the corporation which will be used to fund a gift to a Qualified Donee ($2,611,000 less the ACB of the policy will go into the CDA).

This gift will be paid in one of two ways. Either the company will make the $500,000 gift and receive the charitable receipt, or alternatively, Mr. Abitbol will set up a $500,000 gift in his will. The company will declare a $500,000 dividend to the estate out of the CDA created by the insurance proceeds. The dividend will be received tax -free and the estate will have $500,000 to pay the chairty gift, but will still pay the gift with marketable securities if possible. Thus, Mr. Abitbol's final tax return will contain a $500,000 receipt applied 100% against other income.

Subsection 164(6) of The Act and Will planning

A basic corporate estate planning strategy has been to have the corporation take out a policy on a shareholder. On death, the deceased's shares are redeemed by the company funded by the life insurance proceeds. In effect the capital gain in the deceased's return is replaced by a dividend to the estate which is non-taxable as the dividend is elected out of the CDA arising from the life insurance proceeds. If the estate so elects, The Act will reduce the capital loss to the estate upon the redemption of shares, which by virtue of subsection 164(6) of The Act is carried back to offset the deceased's capital gains to, simplistically, 50% of the original gain. Consider utilizing the 50% opportunity and make a will gift to double the tax savings. And, since, as of January 1, 2016 the will gift can directly be used against the estate's dividend income, planning is furthered with a will gift.

EXAMPLE 3:

Mr. Aaron's shares of Aco are worth $10,000,000. Aco takes out a $3,000,000 policy on Mr. Aaron's life. Mr. Aaron's will provides for a discretionary gift to a Qualified Donee for up to $3,000,000.

On death Mr. Aaron's final return will indicate $6,000,000 of taxable income due to the deemed disposition of Aco shares. The Estate's shares in Aco are redeemed for $3,000,000 cash (funded from the life insurance policy) and a $7,000,000 stock dividend of non-voting full ACB and PUC preferred shares.

The redemption creates an $10,000,000 dividend to the estate of which $7,000,000 is taxable as Aco elects $3,000,000 out of the CDA account created by the insurance proceeds. In addition, a capital loss of $10,000,000 is incurred which by virtue of subsection 164(6) of The Act is carried back to Mr. Aaron's return to eliminate the taxable capital gain. The estate pays the gift to a Qualified Donee. The donation receipt is used by the estate and not the final return (see chapter 3 on Bequests).

In summary, on a net basis, using subsection 164(6) of The Act to carry back using insurance will save about $1,000,000 of tax and the same insurance proceeds funding the gift will save a further $1,500,000 and a large endowment is gifted upon death.

CHAPTER 15

DEPARTURE TAX PLANNING

Canada taxes individuals on the basis of residence and consequently every person residing in Canada is taxed on their worldwide income.

When an individual ceases to be a resident of Canada, The Act levies a "departure" tax in an attempt to ensure that Canada receives its fair share of tax revenue on income earned while resident. The departure tax is, for the most part, aimed at taxing the appreciated value of capital property that grew in value during residency.

The departure tax is computed by deeming an individual to have sold at FMV their capital property immediately before ceasing to be a resident. One either pays the resulting tax or elects to defer the payment of the tax until actual disposition by depositing security with the government. There are assets that were exempted from the rule, namely Taxable Canadian Property ("TCP").

Shares of private companies are subject to departure tax and thus on any appreciated value the taxpayers must either pay the tax on filing their return for the year of departure or post security. The CRA has discretion to determine the amount and form of the security.

Gift Planning
The inclusion of private company shares in the departure tax net has a significant effect on Canadians contemplating giving up residency and may result in residency being maintained.

EXAMPLE:

One can envision situations where the combination of estate, gift and departure tax planning may enable a Canadian to achieve his or her objective.

Consider a situation in which Mr. A aged 70 wishes to retire to the Bahamas. Mr. A owns shares of a private company, OPCO, which his children now run. In 1980, an estate freeze was affected whereby Mr. A's common shares of OPCO were exchanged for preferred shares, with new common shares issued for nominal value to the children.

Today the common shares of OPCO are worth $10,000,000 and Mr. A's preferred are valued at $2,000,000. Assuming a nil ACB, the potential departure tax liability is $645,862 (50% x $250,000 and 66.67% x $1,750,000 (x 50%)). Prior to departure Mr. A gifts his preferred shares to a Qualified Donee. He elects pursuant to subsection 118.1(6) of the Act that the disposition occur at cost to ensure no capital gain be realized.

EXAMPLE (continued):

No receipt will be useable (See chapter 11, Gift of Private Company Shares and Debt, to determine if the receipt can be used without the election).

The Qualified Donee and OPCO agree on a timing formula for redemption of the preferred shares. Perhaps OPCO will purchase $2,000,000 of insurance on Mr. A's life, the proceeds of which will fund the redemption. Perhaps the redemption will fund the annual gift of the family. Perhaps a special community project is endowed in the name of Mr. A.

Departure tax gift planning is not for everyone, but shows how important it is to consider one's charitable gift options in order to meet one's financial and charitable objectives.

CHAPTER 16

RRSP GIFT PLANNING

Canada's individual income tax system is premised on an annual calculation of income. Thus, salaries earned in the year, dividends received in the year, interest income earned in the year or gains on dispositions of property within the calendar year are all taxed in the year. Exceptions to this rule exist by means of government-sanctioned tax shelters or tax deferral mechanisms. These include Registered Pension Plans ("RPP"), Registered Home Ownership Savings Plans, Deferred Profit Sharing Plans, Registered Education Savings Plans, Registered Retirement Savings Plans ("RRSP's"), Tax Free Savings Accounts and Registered Retirement Income Funds ("RRIF's"). Income earned within these registered plans are not taxed annually, but instead are allowed to accumulate as long as the funds remain within the plan.

Across Canada, RRSPs and RRIFs contain billions of dollars and are potential sources of donations. They also contain potential tax liability.

The objective of this chapter is to briefly review the mechanics of these plans to understand when tax consequences do arise and then to determine if charitable giving plans can be adapted to benefit the taxpayer and charitable institutions.

Charitable Donations
There are no specific provisions in The Act which combine charitable giving and deferred plans. The planning is not a question of legislation, but of logic. The logic being to marry-up the possibility of income inclusion to the possibility of charitable giving and thus a corresponding tax credit. For most Canadians, the creation of an RPP is a meaningful mechanism to create retirement income. This is not necessarily the case for RRSP's, because for some Canadians

their retirement funding is secure regardless of RRSP contributions. A basic premise of an RRSP is that one receives a tax deduction, presently up to $31,560 a year for contributions. For a taxpayer earning significant income who does not need all those dollars for living expenses, it is often suggested to contribute to an RRSP to defer tax and to allow for a tax-free accumulation of income within the RRSP. In essence, it is partially the government's money that is growing and accumulating for the taxpayer that creates a terrific investment vehicle regardless of the pension objective.

The mental framework for many Canadians is that it is not a pension-gathering tool but a tax deferral device. As a result, however, when the dollars are available to come out or must start to be taken out commencing at age 72, these dollars may not be needed for the lifestyle of the individual but instead create a tax problem.

Consequently, in the cases of RRSP and RRIF's, there are thousands of Canadians who have significant dollars in these accounts who may not need the funds either personally or for estate planning purposes. These dollars could very well be available for charitable purposes given that these amounts are taxable and a corresponding charitable tax receipt would be valuable.

Pension Annuity or RRIF Payments

If the taxpayer is in receipt of a pension annuity or RRIF payment, these amounts are taxable. If the amounts are not needed for lifestyle purposes, a program of transfer to a charity will effectively allow for an offset of the income against the tax donation. For example, a $1,000 taxable annuity at a 50% tax rate would leave the individual with $500. A transfer of that $1,000 of income to a charity will allow the tax credit to offset the income inclusion from the annuity so that no tax is paid.

RRSP and RRIF Gifts to Charity

On death, the donation's tax credit will be available on the final tax return, both for these gifts made via the will or for RRSP, RRIF and insurance proceeds made through direct beneficiary designations.

This 100% donation limit on death is important for taxpayers in their planning as it allows for a very easy methodology of reducing significant taxes at that time. Caution is called for, however, if an individual wishes to transfer the value of their RRSP or RRIF within the course of his lifetime. Unlike a donation of capital property, whereby a taxpayer can elect a disposition at any amount between his ACB and the FMV, no such provision exists for the transfer of RRSP's or RRIF's. These trusts, for these purposes, will not be considered to be capital property and, therefore, the election cannot be made. Further, unlike capital property, there are no increased donation limits for transfers of these trusts. Thus, a transfer of a lump sum payment during lifetime will result in an equal donation receipt to the income recognition but the donation receipt can only be used against 75% (100% for Quebec purposes) of the

income of the donor. It is possible that the lump sum payment may carry some taxation that is not sheltered by the donation receipt. On the other hand, if the individual is in a situation where, for example, they are transferring a $100,000 RRSP to a charity but has $75,000 of other income, the charity receipt of $100,000 will be fully usable against income of $175,000 based on the 75% (Federal) test.

Due to the 100% donation limit on death, and the income recognition on death due to a RRSP or RRIF, it may lead to a different style of planning. If one anticipates, say a $500,000 RRSP income inclusion on death, this would result in a $250,000 tax liability. A $500,000 charitable donation receipt could be used to eliminate the tax liability.

Who should use them?

While there are more tax efficient gifts, RRSPs represent is an incredible amount of relatively liquid assets, which makes it a fertile ground for gift planning for charities.

One mechanism to achieve this credit is to purchase life insurance to fund a gift on death. As the RRSP income inclusion for a couple would occur after the second death, one would purchase a last to die policy so that the gift, set out in the will, would occur at the same time. The cost of the insurance is often far less than the ultimate tax liability. The family is, in effect, using the government's tax money to fund the charitable gift.

EXAMPLE 1:

Anticipated RRIF value at death	*$500,000*
Potential tax liability	*$250,000*
Cost of premiums over 6 years to purchase a $500,000 life insurance policy to be gifted in the will	*$150,000*

Net Savings

The $500,000 RRIF income on death will be offset by the $500,000 gift. No tax will be paid. The cost of the insurance is less than the ultimate tax cost; however, the true value of money is not calculated in this example.

Further, the anticipated RRIF value is questionable. How does one know when one dies? However, this planning is possible to reduce taxes generally on death, whether the taxes arise due to RRIF's or appreciated property or both.

EXAMPLE 2:

RRSP Cash-in

Mr. Schwartz has always wanted to cash-in his $300,000 RRSP but he does not want to pay the heavy tax. He has made a special gift to a Qualified Donee of $300,000. His annual income is $100,000.

Income	*$100,000*
Add: cash-in of RRSP	*$300,000*
Total	*$400,000*
Use of receipt	*$300,000*

Instead of creating a large charitable carry forward, Mr. Schwartz has cashed in his RRSP's.

It is clear that there are billions of dollars invested annually in RRSP's and further billions of dollars earned within RRSP's on a tax-free basis annually. It is an incredible amount of relatively liquid assets, which makes it a fertile ground for gift planning for charities.

CHAPTER 17

GIFTING U.S. ASSETS

Canada – United States ("US") Charitable Transactions
This handbook is intended to act as a guide for professionals in dealing with donors. This is even more the case for this chapter on cross-border gifting provisions between Canada and the US. The chapter is not intended to review all of the income tax and charitable aspects between these systems; instead, it will offer a few directions that may aid the professional to begin their research.

Americans Donating to Canadian Charities
An American may make a gift to a Canadian Qualified Donee. The tax effects vary, however, with the facts and the types of assets that are being gifted.

For U.S. tax purposes, an American will have an annual limitation on contributions to 100% of adjusted gross income for cash and ordinary income property and 30% for long-term capital gain property. Contributions in excess of these annual limitations can be carried forward up to five years. However, for lifetime gifts to Canadian charities these limits will be based on the American's Canadian source income. For example, if an American has $100,000 of US source income and $20,000 of Canadian source income, he will be entitled to make a gift to a Canadian Qualified Donee to the extent of 100% of their Canadian source income or $20,000. Any excess contribution could be carried forward five years to be applied again to Canadian source income in those years. This provision, allowing Canadian donations to be applied against Canadian source income, is based on the Income Tax Treaty between Canada and the United States ("The Treaty").

Americans may have a substantial estate tax liability. In this particular situation, the status of Canadian charities is much more beneficial. A bequest to a Canadian Qualified Donee would qualify as a US gift, if the Canadian charity e.g. the Qualified Donee would have been considered a US charity if the organization had been situated in the US. A bequest to a Qualified Donee would be totally deductible in arriving at estate tax liabilities. This rule does not apply if one is attempting to achieve an estate tax deduction by the creation of a CRT for the Canadian charity.

Canadian gifts of U.S sited property
It is permitted under The Act for gifts to be made to Canadian charities of non-Canadian sited property. The normal income tax effects will occur for Canadian purposes, based on the deemed disposition rule for gifts. Depending on the type of property transferred, the disposition to the charity may be subject to US income tax.

U.S Shares
Under The Treaty, it is doubtful that shares of US corporations gifted by a Canadian taxpayer to a Canadian charity will be subject to American tax unless the shares' basis of value is U.S. real estate. The Treaty exempts Canadians generally from taxation on disposition of American capital assets except for real estate. US corporation shares are subject to American estate taxes on the death of a Canadian. The Treaty does create an exemption to reduce or eliminate this tax. However, if there is an estate tax problem and it is intended that these assets be gifted, then it seems preferable to gift them during the lifetime rather than at death as The Treaty will eliminate the US taxation on the capital gain arising from the sale of the US shares (other than shares deriving their value from real estate) during lifetime. Please refer to competent US professionals for tax advice in arranging any of these gifts.

U.S Real Estate Gifts
A Canadian will be subject to US capital gains tax on the gifting of US real estate to a Canadian Qualified Donee. Of course, for Canadian purposes, the transaction is taxable as well, and of course for Canadian purposes a charitable donation receipt can be usable on the return. Given that both tax jurisdictions will be taxing the transaction, a foreign tax credit will be allowed on the Federal Canadian return for any tax paid within the US on the transaction.

A special "gift tax" exists in the United States, and a gift to a Canadian charity may be subject to this gift tax. There are allowable credits that can be used by Canadians to offset the tax due. If the real estate was given by bequest to the Canadian charity, there will be no capital gains tax in the US on the gift but the donor's estate will be subject to estate tax, offset by the allowable credit. Also, note that due to The Treaty, the estate tax paid in the US is allowed as a foreign tax credit on the Canadian income tax return.

CHAPTER 18

CONTRASTING THE FEDERAL AND QUEBEC TAXATION ACTS

The Federal and Quebec tax rules as they relate to charitable giving are very similar. Some of the differences highlighted in other chapters are:

1. For Federal purposes, charitable gifts that can be claimed (other than gifts made by a will) are generally limited to 75% of net income. For Quebec purposes, the limit is 100% of net income (See chapter 2).
2. Federal law permits spouses to share donations (other than donations made by will). For Quebec purposes, by administrative policy, spouses can share cash gifts, but not Gifts in Kind.

Other differences are discussed below. The list is not exhaustive.

Gifts to US Charities
For Federal purposes gifts to US charities may be claimed to the extent of 75% of US source net income. Quebec does not allow this. Thus, gifts to US charities generally cannot be claimed for Quebec purposes.

Art and Cultural Property
The donation of certified cultural property yields the identical tax results for Federal and Quebec purposes. However, gifts of other art are taxed differently. For Federal purposes, a donor of art to a charity will receive a donation receipt equal in value to the art. The taxpayer is deemed to dispose of that art at its FMV and could realize a capital gain in relation to the gift. For Quebec, the rule is similar if the charity is in the art "business" e.g. museums. In this case, Quebec will allow a credit based on 125% of the gift.

For gifts to other charities where it is assumed that the art will be sold, Quebec legislates a system whereby the donation receipt received will not be equal to the value of the art. For Quebec, the receipt will be equal to the actual selling price of the art piece by the charity. The charity will have five years to make the sale. When it does sell the art, the charity receipt will be used by the taxpayer in the year in which they actually donated the art. The donor may have to refile their Quebec tax return.

What is a little upsetting from the Quebec situation is that in the year of gift one will realize and pay tax on the disposition. Presumably, the FMV would be what the evaluation is in the year of gift and one would report a capital gain based on the disposition. The donation receipt, although usable in the year of disposition, may only save tax at a later time and the amount of the receipt can be less than the value at the date of the gift. Therefore, tax may be prepaid unfairly and it is possible that the donation receipt may never be usable if the charity does not dispose of the art. Quebec does have tax stimuli for gifts to cultural charities. A $25,000 cash gift to a cultural institution in Quebec could yield an additional $6,250 of Quebec tax credit. Gifts of $250,000 also yield special benefits.

Donation of Appreciated Assets
On the subject of real estate, Quebec's rule for transfer or mutation taxes is onerous for charities as the calculation is based on the greater of two amounts, the proceeds of sale (nil for a gift) and the municipal evaluation. In other provinces, the municipal evaluation is not considered and thus the transfer taxes are nil.

Quebec Taxpayers with Jurisdiction inside Quebec and Outside Quebec
There are a number of taxpayers who can utilize the credit system to their advantage if they have establishments in Quebec and outside Quebec. Consider an individual who has a professional practice in Quebec and in Ontario. Assume half of their income is derived from Quebec and the balance in Ontario and, therefore, half of their provincial tax is paid in Quebec and half is paid in Ontario. Assume further that their spouse is resident in Quebec with Quebec taxable income only. A donation receipt used for Federal purposes by the professional would result in a tax saving on both their Federal tax and their tax in Ontario, which accounts for half their provincial tax. Thus, the effective use of the donation receipt would mean an approximate 37.5% saving. If they use the donation receipt on his Quebec tax return also, 12.5% would be saved based on the fact that half of their provincial tax is payable in Quebec. It would be preferred in this situation to have their spouse utilize the donation credit for Quebec tax purposes. As the spouse pays all of their provincial tax in Quebec, there would be an approximately 25% tax saving on that return.

The professional would still use the donation receipt on their Federal return. As a family, the professional would be saving 37.5% on their Federal return and the spouse would save 25% on their Quebec return which would mean that a donation receipt would actually save $0.625 on the dollar therefore making it much more amenable to make donations.

CHAPTER 19

MINING FLOW-THROUGH DONATIONS

A relative newcomer to the Canadian planned giving scene, mining flowthroughs ("MFTs") have enabled many Canadians to reduce their cost of donations substantially.

MFTs were introduced in The Act decades ago, as a means of helping Canadian public mining companies finance their risky exploration ventures. These companies are entitled to enhanced deductions and tax credits on their operations, but as they were not in a taxable position, their tax incentives were not effectively useable.

This spurred the creation of MFTs, where the investors of treasury stock would have the tax credits and deductions allocated to them instead of to the companies (flowed through). These MFTs, then, were a way of stimulating investment and financing the companies. The investors would effectively reduce the cost of their investments with the tax effects that they would enjoy, while the companies would receive cash and give up their tax benefits, which could only be useful to them in the future anyway. Investors were required to hold the stock for a certain amount of time before being able to sell them on public markets. These tax shelters were effective and helped Canadian mining companies finance and build incredible mining operations, primarily in Alberta and Saskatchewan.

Who should use them?

Mining flow-through donations are most effective for donors with high personal taxable income – over $250,000 annually. They can be used both for annual giving and for building up a fund.

The Donation MFTs (DMFTs) were created as an extension of this project. Promoters put together the concept of investing in the companies and immediately donating the shares to charity. The promoters found off-market purchasers for the shares and thus the investment today was converted into charitable dollars tomorrow. The investor-donor knew the cost of shares, the deductions and credits they would utilize, and the amount of cash proceeds the charity would receive. The credits are particularly beneficial for Quebec mining, as Quebec has its own incentives for strategic mining investments in Quebec, which allows an extra deduction of 10% or 20% of exploration expense.

The Quebec individual investor of, say, $100,000 of exploration mining stock is entitled to claim a $100,000 deduction on his federal return and a $15,000 ($30,000 in some cases) investment tax credit. He could claim a $120,000 write-off on his Quebec tax return. Based on the top tax bracket in Quebec on income over $246,752 which is 53.31%, a donor's cost of giving can be as low as 10%, and if the purchase of stock structured so that only a portion of the shares purchased are donated, the cost of giving can be as low as 1%.

EXAMPLE 1:

John Sample has $285,000 of salary income and $25,000 of investment income annually. He purchases 53,936 shares of Goldco, a Quebec mining company, for a subscription price of $53,936. He donates about 75% of the shares to charity and retains about 25%.

Both the charity and John sell their shares. The charity is left with $17,412 after fees, while John has $8,611 after fees. John is now $45,325 out of pocket, but Goldco allocates him $53,936 of exploration expenses.

John claims $53,936 of exploration expenses on his federal return and his Quebec return. In addition, he claims a further 20% deduction ($10,787 on his Quebec return and a 15% investment tax credit ($8,090) on his federal return. For federal purposes he adds $16,086 of taxable capital gains this year and the investment tax credit amount, $8,090, on next year's federal return. There are no Quebec effects for these last two income additions.

According to the offer sheet, the cost of the net donation is 4.95% after all the tax ins and outs. This is based on the assumption that the deductions are all saving tax at the highest rate (53.31%) applicable on income over $246,752 and that John's total capital gains are less than $250,000. Given John's net income of about $285,000, this appears to be the case here.

Note that the 2022 Federal Budget took out Hydrocarbons from the program. In addition, for critical metal exploration the investment tax credit moved from 15% to 30%. Also note, effective 2024, AMT may be a more significant factor in purchasing these shares and that the 2024 budget has increased the inclusion rate for capital gains over $250,000 which increases taxes.

Every deal is different, and the numbers vary according to the agreements that the promoter makes with the mining company, the fees charged, and the price that the ultimate buyer pays for the shares.

The Canadian and Quebec governments have given tax rulings on these DMFTs and they have

operated successfully for over fifteen years, but investor-donors need to obtain professional advice before purchasing such a shelter. There are risks involved, the chief of which is that the mining company must do the exploration within a certain amount of time. If it does not, the donor will find that without mining deductions and credits the cost of giving will be prohibitive.

The bigger risk is the donor's own tax return. The deductions and credits are huge and thus to save tax at the highest rate, one needs qualifying income ordinarily taxed at a high rate. AMT, particularly in Quebec, is a factor – you have to pay some tax! To buy $100,000 of DMFT, you might need income of at least $300,000. Any donor contemplating buying DMFT should prepare a pro-forma tax return prior to the purchase to ensure that the anticipated tax benefits will be realized.

Corporations can also buy DMFTs but they tend to be different. There are no specific Quebec incentives so mining from anywhere in Canada works, even in Quebec. These shelters are often not exploration but development, meaning that the write-offs are done over a period of years. Corporate purchases and subsequent gifts and sales create capital gains. A by-product of the DMFT, then, is the creation of CDA which allows for tax-free dividends to be paid to shareholders. The cost of giving for corporate DMFTs can be high, even 50%. However, the value of CDA can be tremendous and if these values are added into the calculations, the cost of giving can be brought close to zero. If CDA is not of use (either because the company does not use it, or because the company has so much of it already that more does not give them savings), then corporate DMFTs are not of value. Capital gains in a corporation as of June 25, 2024 are subject to a 66.67% inclusion, increasing tax and reducing the value of corporate DMFTs.

Uses and Limitations of DMFTs

DMFTs are clearly a great way to make a donation, but their main limitation is in the numbers. For a $700,000 tax return, one might buy $250,000 of shares, which might yield a $100,000 donation. This enables a gift to be paid with DMFTs over a number of years to reflect annual limits.

EXAMPLE 2:

John Sample from Example 1 has agreed to fund a $500,000 life insurance policy to benefit a Qualified Donee. The premiums are $15,000 a year for 10 years, at which point it is fully paid-up.

John's first payment to the charity to support the premiums will be with charity flow through proceeds. He hopes to continue to take advantage of this mechanism for the ten-year pay period.

If so, the after-tax cost of the $150,000 of premiums will be 4.95%, or $7,425. To reiterate a $7,425 cost, which will ultimately benefit a Qualified Donee by $500,000!

The after-tax cost of a DMFT gift can be very low, but the donor has to finance the purchase. The purchase happens immediately, but for individuals, the tax savings come when they file

their personal tax returns in April of the following year. One can apply to have deductions at source reduced and installments can be reduced or eliminated, thus reducing the financing cost.

Qualifying Canadian mining companies do not always have product available. Interested donors should plan ahead and be ready to make a purchase.

One way to expand the tax return is to use the spouse. The donation credit can be used by a spouse (other than for Quebec purposes), thus effectively utilizing spousal income in the calculations. Tax savings are also usually assumed to be at the top rate, but this rate is not always applicable – sometimes the top rate is applicable against some income, and a lower rate (4% less) on another part of the income. This would affect the cost of the gift; while lower rates could increase the cost of giving by 10%, this would still be a great result.

CHAPTER 20

CASE STUDY

Overview

Mark Smith age 65 and Judy Smith age 63 want to plan their philanthropy, both short-term and long-term. They have four children, who are aged between 26 and 35, and three grandchildren. Mark and Judy are hoping to make a few significant major donations in the next year. While they will consider long-term testamentary gifts, they want the majority of their estates to pass to their children.

Shareholding

Mark owns all 100 of the Common shares of the company MJ, 1.5 million Class A preferred shares, redeemable for $1 each ($100 PUC and $100 ACB), and 750,000 Class B preferred shares, also redeemable for $1 each ($1 PUC and $750,000 ACB). Mark's annual salary is $700,000, while Judy's is $250,000.

MJ owns $1,000,000 of marketable securities ($643,000 ACB) and all the issued shares of two companies: Opco and Realco. MJ owns 2,000,000 preferred shares of Opco. MJ has $94,000 in Refundable Dividend Tax on Hand (RDTOH).

Opco

In 1995 Mark started a company called Opco, which produces tools for Canadian retailers. Opco earns around $700,000 a year, all of which is active business income. A competitor has offered Mark $10 million for all the shares of Opco and the sale is planned for the end of this year or the beginning of the next.

Realco
Realco is a company that holds real estate. It currently has 53 apartment units with a cost of $200,000, UCC of $95,000, and FMV of $1 million. It also holds land with an ACB of $200,000 and FMV of $1.2 million, which is up for sale. Realco's income is taxed as property income, and its RDTOH is $85,000.

Family Obligations
Mark and Judy's four children live in Montreal. None of them are involved in the business and though they all work, they are not wealthy. Mark and Judy's eldest grandchild is disabled, so they help with his expenses.

Mark's older brother Steve age 72, unmarried and childless, used to work at the company. He lives off of $90,000 of pension income and $20,000 of investment income. He has $1 million of securities with an ACB of $600,000 and winters in Florida. Steve complains that his cash flow is tight; not only are his taxes high, but he is paying $10,000 annual premiums on a 'term to 100' $500,000 life insurance policy. His current mortality is 17 years and he is thinking of giving up the policy.

Financial Assets

Consider the details of the donor's finances. Which assets could be the source of a gift?

PERSONAL BALANCE SHEET

Assets	Mark	Judy
MJ Shares	*$13,200,000*	
Securities ($1 million ACB each)	*$1,500,000*	*$1,500,000*
RRSPs	*$1,200,000*	*$750,000*
Residence in Montreal	*$4,000,000*	
Salary	*$700,000*	*$250,000*
Dividends for MJ	*$100,000*	
Kle painting (cost $50,000 in 2015)	*$200,000*	

Last to die insurance policy purchased February 2016; face value $100,000, term to 100, $7,000 premium, based on joint mortality of 24 years

MARK AND JUDY'S SECURITIES

Common Shares	Quantity	Market Price	Cost	Market Value
ARC Resources LTD	*500*	*16.70*	*6,756*	*8,350*
Altagas LTD	*4000*	*30.90*	*126,578*	*123,600*
Agnico Eagle Mines LTD	*4000*	*36.37*	*119,876*	*145,480*
Agrium Inc	*300*	*123.67*	*29,653*	*37,101*
Alimentation Couche-Tard	*8000*	*60.91*	*357,002*	*487,280*
ATCO LTD-CL I NON-VTG	*240*	*35.70*	*12,456*	*8,568*
Brookfield Asset	*500*	*43.65*	*14,156*	*21,825*
Bank of Montreal	*5000*	*78.08*	*163,968*	*390,400*
Bank of Nova Scotia	*4000*	*55.97*	*123,876*	*223,880*
BCE INC COM NEW	*1000*	*53.46*	*45,679*	*53,460*
Total			***1,000,000***	***1,499,944***

Formulating a Plan

How do we decide the best plan for Mark and Judy? First, determine what their taxable incomes are and their approximate taxes payable. The next step, is to perform an estate plan analysis by looking at their assets and determining the tax payable if Mark and Judy were to pass away. Finally, taking their taxable income and the estate plan analysis into account, select the gift planning products that are the best for Mark, Judy, and Steve.

There are several different products to consider when selecting the best gift planning strategy for the Smith family. Mark, Judy, or MJ could gift marketable securities to a Qualified Donee. They could also gift real estate, make gifts of art, use life insurance as a long-term gift, purchase CMFTs, gift private company shares, or establish a CRT. Each of these seven products will be considered below as we work through potential plans.

Analysis

First, establish taxable incomes and their associated rates. Mark has a large personal tax return and has to pay the top marginal rate of 50% (assumed). Judy, who also earns a substantial income, has to pay 46% - and bear in mind that spouses can share charitable receipts (other

than Gifts in Kind for Quebec purposes). Steve is also taxed at 46%. MJ, which earns property income, is taxed at 50%, but does not earn substantial income unless there is a sale. Opco is taxed at 27.5% at the high rate and 15% at the low; Realco, like MJ, has property income taxed at 50%, and does not have substantial income unless there is a sale.

MARK AND JUDY'S ESTATE ANALYSIS

Assets	Value	ACB	Gain	Amount Taxable
MJ Shares	*13,200,000*	*750,000*	*12,450,000*	*8,255,000*
RRSPs	*2,250,000*			*2,250,000*
Securities	*3,000,000*	*2,000,000*	*1,000,000*	*666,667*
Residence	*4,000,000*			
Taxable Income				*11,171,667*
Tax				*5,587,333*
Total Estate				*22,450,000*
Net Value				***16,862,667***

STEVE'S ESTATE ANALYSIS

Assets	Value	ACB	Gain	Amount Taxable
Securities	*1,000,000*	*600,000*	*400,000*	*225,000*
Insurance	*500,000*			
Tax Recovery	*40,000*			
Estate	*1,540,000*			
Charity	*1,540,000*			*(1,540,000)*

Based on this analysis, consider estate planning or life insurance for Mark and Judy and life income plans for Steve.

Looking at the securities for Mark, Judy, and MJ, the investment with the greatest gain are the shares of Bank of Montreal. The highest Gain/Market Value, 58%, is also with the Bank of Montreal. Now that we have identified the Bank of Montreal securities as a good target for a charitable gift, we have to consider the following questions. What is the actual net cost of the potential gift and who should make the gift?

MARK AND JUDY SECURITIES ANALYSIS

Common Shares	Quantity	Cost	Market Value	Gain	Gain / Market Value
ARC Resources LTD	*500*	*6,756*	*8,350*	*1,594*	*0.190898*
Altagas LTD	*4000*	*126,578*	*123,600*	*-2,978*	*-0.024090*
Agnico Eagle Mines LTD	*4000*	*119,876*	*145,480*	*25,604*	*0.175997*
Agrium Inc	*300*	*29,653*	*37,101*	*7,448*	*0.200749*
Alimentation Couche-Tard	*8000*	*357,002 1*	*487,280*	*13,0278*	*0.267358*
ATCO LTD-CL I NON-VTG	*240*	*2,456*	*8,568*	*-3,888*	*-0.453780*
Brookfield Asset	*500*	*14,156*	*21,825*	*7,669*	*0.351386*
Bank of Montreal	*5000*	*163,968*	*390,400*	*226,432*	*0.580000*
Bank of Nova Scotia	*4000*	*123,876*	*223,880*	*100,004*	*0.446686*
BCE INC COM NEW	*1000*	*45,679*	*53,460*	*7,781*	*0.145548*
Total		*1,000,000*	*1,499,944*	***499,944***	

MJ SECURITIES ANALYSIS

Common Shares	Quantity	Cost	Market Value	Gain	Gain / Market Value
ARC Resources LTD	*500*	*6,756*	*8,350*	*1,594*	*0.190898*
Altagas LTD	*4000*	*126,578*	*123,600*	*-2,978*	*-0.024090*
Agnico Eagle Mines LTD	*4000*	*119,876*	*145,480*	*25,604*	*0.175997*
Agrium Inc	*300*	*29,653*	*37,101*	*7,448*	*0.200749*
ATCO LTD-CL I NON-VTG	*240*	*12,456*	*8,568*	*-3,888*	*-0.453780*
Brookfield Asset	*500*	*14,156*	*21,825*	*7,669*	*0.351386*
Bank of Montreal	*5000*	*163,968*	*390,400*	*226,432*	*0.580000*
Bank of Nova Scotia	*4000*	*123,876*	*223,880*	*100,004*	*0.446686*
BCE INC COM NEW	*1000*	*45,679*	*53,460*	*7,781*	*0.145548*
Total		*642,998*	*1,012,664*	***369,666***	

Marketable Securities from Mark

Mark's best marketable securities to gift are his Bank of Montreal shares. If he gifts $100,000 shares with an ACB of $42,000, his gain will be $58,000. To calculate the cost of donation, he will get 50% tax credit, which will give him $50,000. His capital gain savings will be $19,333 (66.67% x $58,000 x 50%), giving him a total savings of $69,333. His cost of donation, then, is $30,667 for the $100,000 gift, or 30.667%.

Marketable Securities from MJ

Once again, the best option to gift is the Bank of Montreal shares. Similarly, if MJ gifts $100,000 shares with an ACB of $42,000, the capital gain will be $58,000. To calculate this cost of donation: MJ will get a 50% tax deduction, or $50,000, with capital gain savings of $19,333. The total savings would come out as $69,333, but Mark will also receive extra money from MJ's CDA. Assume the dividend tax is at 45%. A normal dividend of $38,666 would provide Mark with $21,266, saving him $17,400, but MJ would have received a dividend refund giving extra savings of $14,820. Mark's total savings would be $71,913 so the cost of donation would be $28,087 or 28.08%. Assuming he can benefit from the capital dividends, donating marketable securities from MJ is an excellent option for Mark.

Gift of Real Estate

Next, consider the real estate that Realco is planning to sell as the source of a potential gift (chapter 11). Under current tax laws, however, there would be no capital gains exemption in this situation, so the gift of real estate would have no positive effect for Mark and he should look to other assets for his philanthropy.

Gift of Mark and Judy's Principal Residence

What about Mark and Judy's principal residence? Consider making a gift of residual value (chapter 7) of their home in Montreal, which is currently valued at $4 million. Assuming the couple's joint mortality is 24 years, the residual value of the gift will be $1,967,734 ($4 million current value, at a 3% discount rate for 24 years). Mark and Judy will receive a $1,967,734 tax receipt and because it is their principal residence, its donation will produce no taxable gain. Although the donation of a principal residence is unusual, if they decide to undertake it the donation will clearly give them large tax savings.

Gift of Art

Mark owns a Kle painting, which he purchased in 2019 and now hates, but it has gone up in value. To make a gift of art (chapter 12), Mark could give the painting to the charity with an aim for them to sell the piece for cash. In Quebec, his receipt will be determined by the proceeds of the disposition by the charity, but otherwise he will need a third party evaluation for the receipt. Normally the disposition of the art by the charity would create a capital gain, but subsection 248(35) of The Act stipulates that if the taxpayer acquired the property less than three years before the gift was made, the value of the gift is considered the lesser of the FMV or the ACB.

PURCHASE OF POLICY FOR MARK AND JUDY

Year	Premium	PV at 3%
1	*$25,000*	*$25,000*
2	*$25,000*	*$24,272*
3	*$25,000*	*$23,565*
4	*$25,000*	*$22,879*
5	*$25,000*	*$22,212*
6	*$25,000*	*$21,565*
7	*$25,000*	*$20,937*
8	*$25,000*	*$20,327*
9	*$25,000*	*$19,735*
10	*$25,000*	*$19,160*
11	*$25,000*	*$18,602*
12	*$25,000*	*$18,061*
13	*$25,000*	*$17,534*
14	*$25,000*	*$17,024*
15	*$25,000*	*$16,528*
16	*$25,000*	*$16,047*
17	*$25,000*	*$15,579*
18	*$25,000*	*$15,125*
19	*$25,000*	*$14,685*
20	*$25,000*	*$14,257*
21	*$25,000*	*$13,842*
22	*$25,000*	*$13,439*
23	*$25,000*	*$13,047*
24	*$25,000*	*$12,667*
Total		***$436,090***

On the other hand, if Mark can donate his Kle to a museum, it would become Canadian Cultural Property. In that case, his charitable receipt can be used against 100% of his income and can be carried forward ten years; in addition, donations of Canadian Cultural Property receive a capital gains exemption and an exemption under 248(35) of The Act. It would be most tax effective for Mark, therefore, to donate the Kle to a museum.

Gift + Insurance Estate Planning

Turning towards the longer term, how should Mark and Judy approach their estate planning? Purchasing a life insurance policy (chapter 4) could enable them to make a substantial gift at death while replacing a considerable amount of money to pass on to their children.

A possible scenario: First, MJ purchases a $1 million policy on a last-to-die basis. Next, Mark and Judy leave $1 million to a Qualified Donee, also on a last-to-die basis, in their wills. After the second death, the corporation will receive $1 million tax-free from the life insurance proceeds and remit $1 million to the estate, which will fully pay off the planned gift to the Qualified Donee. The final tax return of the deceased will be able to use a $1 million tax receipt from charity, saving $500,000 of tax.

How much will the purchase of the life insurance cost overall? As the table to the left shows, after Mark and Judy's 24 year predicted mortality, the sum of their premiums at present value will be $436,090. If Mark and Judy choose not to purchase life insurance, the corporation would transfer to the estate at a 25% tax rate, leaving the estate with $311,550 After 24 years at 3%, the $500,000 of estate savings Mark and Judy will get from their charitable receipt represents $245,967 at present value. The net cost of creating $1,000,000 of charity, then, is $65,583. If

the cash is transferred as marketable securities with 50% ACB, the tax savings at death of $145,837 (50% x $250,000 x 50% + 66.67% x $250,000 x 50%) will have a present value of $71,742. The net benefit of the donation, then, will be $6,159. This represents an incredible giving opportunity for Mark and Judy.

Gift of Existing Policy

Think back to Steve's life insurance policy, which he hopes to sell. What if he gifted his policy instead (chapter 4)? Steve, who is 72 and has a 17-year mortality, owns a $500,000 policy and pays $10,000 premiums, term to 100.

The current value of his $500,000 plan, after 17 years at 3.0%, is $302,508. As the table to the right shows, the present value of his predicted premium payments is $135,611, making that the cost of his life insurance. The value of the future insurance proceeds, established above, is $302,508. The net value of Steve's plan, then, is $166,897.

An actuary would need to perform a valuation, but the apparent value of Steve's insurance policy is $166,897. If Steve were to donate the policy, he would receive a tax receipt for that amount. How would this disposition be taxed? His gain would be for proceeds over the ACB; using subsection 248(9) of The Act, the proceeds for a policy are considered to be the cash surrender value. Steve creates no income, but Steve could shelter his tax bill for at least three years with his charitable receipt! From the perspective of the charity, they are receiving a gift of $166,897 – everyone wins.

DONATING STEVE'S POLICY

Year	Premium	PV at 3%
1	*$10,000*	*$10,000*
2	*$10,000*	*$9,709*
3	*$10,000*	*$9,426*
4	*$10,000*	*$9,151*
5	*$10,000*	*$8,885*
6	*$10,000*	*$8,626*
7	*$10,000*	*$8,375*
8	*$10,000*	*$8,131*
9	*$10,000*	*$7,894*
10	*$10,000*	*$7,664*
11	*$10,000*	*$7,441*
12	*$10,000*	*$7,224*
13	*$10,000*	*$7,014*
14	*$10,000*	*$6,810*
15	*$10,000*	*$6,611*
16	*$10,000*	*$6,419*
17	*$10,000*	*$6,232*
Total		***$135,611***

Charitable Mining Flow-Throughs

Should Mark and Judy consider DMFT (chapter 19) There are some risks involved in using this strategy – that the mining company does not behave as it should, that the charity is associated with it, that it has to register as a tax shelter promoter, and that the donor must not be seen as selling or vouching for it. Different charities may have different policies around accepting these gifts.

Caveats notwithstanding, however, if these shares are available, they can reduce the cost of giving to 1% to 20%. Hundreds of millions of dollars of gifts have been successfully given this way with full governmental awareness and review. Mark and Judy should be aware of the full picture before agreeing to give DMFT and consult with their tax advisor. Still, these shares have huge potential for savings and should be considered seriously.

Gifting Private Company Shares

MJ is planning to sell its $2,000,000 preferred shares of Opco. Should MJ gift these shares to charity instead? If MJ uses an insurance policy to provide for Mark's children, MJ will save $1,000,000 in cash flow and can continue the estate freeze process.

Consider: MJ subscribes for $2,000,000 of preferred shares of Realco. MJ then gifts those shares to charity, who now own $2,000,000 of Realco's preferred shares, and Realco buys an insurance policy. The charity receives a $2,000,000 gift and MJ receives $1,000,000 in tax savings.

If MJ gifts $2 million of preferred shares but receives $1 million in tax savings and the present value cost of insurance premiums is $402,882, the net cash cost for the donor will be $597,118. The estate will receive a CDA benefit and get tax savings on the taxable dividend totaling $218,638. In total, then, the net gain for the donor's family, assuming a life expectancy of 25 years and an interest of 4.5%, is $815,756.

When it comes time for the charity to give a receipt for $2 million on preferred shares, assuming they were 4% cumulative, Realco could pay $80,000 in dividends to the charity and could receive back a dividend refund of 38.33% or $30,664. The net annual cost of the philanthropy for Mark and Judy, then, is $49,336. When Mark and Judy die, the shares will be redeemed and the charity will receive $2 million. The insurance policy can back up the redemption.

There is one potential problem with this plan, though: are MJ's shares Non Qualifying Securities (chapter 10)? As the definition of a Non-Qualifying Security shows, because the donor (Mark) is not arms-length with MJ, MJ shares would appear to be non-qualifying. There are, however, exceptions to the non-qualifying rule, and as a result, if Mark donates the preferred shares to a public charity that he is arms-length with, he won't have any problems.

Say Mark chooses to donate shares that qualify for Capital Gains Exemption, which have a high ACB and low PUC. If he makes a gift of 100,000 Class B preferred shares to charity, MJ can redeem the shares for cash the next day. Because of their high ACB, there will be no gain on the gift, and upon redemption by the charity there is a deemed dividend. MJ may receive a 38.33% dividend refund and Mark will receive a 50% tax credit – in essence, he will get $88,333 back from his $100,000 gift! Gifting Class B preferred shares, then, is extremely beneficial for Mark.

Charitable Remainder Trust
Finally, consider Steve's cash flow problems and the fact that he is childless. A Charitable Remainder Trust (chapter 6) is a perfect solution for him. If he transfers $100,000 to a CRT, he will benefit from the trust for life, then the charity will benefit upon his death. He can use the charitable receipt now rather than letting it go unused, and since the present value of the gift ($100,000 at 3% for 17 years) is $60,501, he will receive a tax receipt for that amount and save $30,250. Steve can continue to do this every year with reduced installments, always leaving himself emergency money on hand.

Is a CRT useful for Mark and Judy? If Mark transfers $100,000 BMO shares with an ACB of $60,000 to a CRT, he will not get an exemption and the disposition will be taxable. He can elect, however, under The Act, to consider the disposition anywhere between its ACB and its FMV, with the charitable receipt being the limiting factor. If he elects that the proceeds of the disposition is $60,501, not $100,000, his capital gains become minimal.

Estate Planning for Disabled Grandchild
If a child or grandchild is physically or mentally infirm and is financially dependent, i.e. does not earn more than their personal exemptions, Mark can rollover tax-free RRSPs to their RRSP. Mark and Judy, then, can set up a special needs trust in their wills to benefit their grandchild.

Summary
In the end, what is the best way to utilize Mark and Judy's assets, in both the short and the long term? Marketable securities are an excellent source of an immediate gift, particularly the BMO shares; Mark's best option is to donate them from MJ and receive a CDA bump. While donating real estate is not an effective option for Mark and Judy, if they set up their principal residence as a gift of residual value, they will realize a large tax savings. Gifting the Kle to a museum will also provide them with considerable tax savings. Donating Class B preferred shares of MJ could also be an extremely effective gift.

For longer term planning, Mark and Judy can look into buying insurance as part of their estate plan. Using life insurance will allow them to give a huge sum to charity but not reduce the inheritance to their children very much; they can consult Mark's insurance broker to find the best policy. MFT shares are also a possibility for Mark and Judy.

As for Steve, he could gift his life insurance policy to charity rather than simply giving it up, which will give him immediate tax benefits. He can also establish a CRT, which will enable him to use receipts that would have gone unused at death to lessen his current tax burden.

NOTE ON ALTERNATIVE MINIMUM TAX ("AMT")

The 2023 and 2024 Federal Budgets proposed very significant changes to the AMT regime, all of which come into effect in 2024. The changes apply (amongst other things) to the AMT tax rate, the threshold income before tax applies, the treatment of capital gains on the donation of marketable securities (30% of untaxed gain added to AMT income) and other capital property, as well as the treatment of donations (only 80% of donation tax credit allowed for AMT purpose).

As a result of these changes, many of the donation planning ideas presented in this Handbook, which previously were not affected by AMT, may be so affected in 2024 and future years. Donors and their advisors will have to be much more sensitive to AMT in the future.

NOTE ON CAPITAL GAIN INCLUSION RATE

It is proposed that effective June 25, 2024, 66.67% of any capital gain will be taxable to corporations. Previously, it was 50%.

For individuals, the first $250,000 of total capital gains for the year will continue to be subject to a 50% inclusion rate. For any capital gains in excess of $250,000 in a year, the inlcusion rate will be 66.67%. In this handbook, when calculating the tax on any individual's capital gain it has been assumed that the individual had no capital gains other than what was illustrated in the example.

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The Canadian Gift Planning Handbook

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